

ABANS FINANCE PLC
FINANCIAL STATEMENTS
FOR THE YEAR ENDED
31 MARCH 2025



KPMG
(Chartered Accountants)
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INDEPENDENT AUDITOR'S REPORT

TO THE SHAREHOLDERS OF ABANS FINANCE PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Abans Finance PLC ("the Company"), which comprise the statement of financial position as at 31 March 2025, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policies and other explanatory information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2025, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics for professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

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W.W.J.C. Perera FCA
G.A.U. Karunaratne FCA
R.H. Rajan FCA
A.M.R.P. Alahakoon ACA

Principals: S.R.I. Perera FCMA (UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. E.R. Ziyad FCMA (UK), FCIT, K. Somasundaram ACMA (UK), R. G. H. Raddella ACA, Ms. D. Corea Dhamaratne



01. Allowances for Expected Credit losses - loans and advances and finance lease receivable

Refer to note 19 & 20 to these Financial Statements.

Risk Description	Our response
As at 31 March 2025, 82% of its total assets of the Company consisted of loans and advances and finance lease receivables amounting to Rs. 11 Bn. Higher degree of complexity and judgement are involved in estimating Expected Credit loss (ECL) amounting to Rs. 1.3 Bn as at the reporting date. Allowance for expected credit losses is a key audit matter due to the significance of the loans and receivables and finance lease receivable balances to the financial statements and the inherent complexity of the Company's ECL models used to measure ECL allowances. These models are reliant on data and a number of estimates including the impact of multiple economic scenarios and other assumptions such as defining a significant increase in credit risk (SICR). SLFRS 9 Financial Instruments requires the Company to measure ECLs on a forward-looking basis reflecting a range of economic conditions. Post-model adjustments are made by the Company to address known ECL model limitations or emerging trends in the loan and lease receivable portfolios. Management exercise significant judgement when evaluating the economic scenarios used and the judgmental post model adjustments. The Company's criteria selected to identify a SICR are key areas of judgement within the Company's ECL methodology as these criteria determine if a forward-looking 12 month or lifetime allowance is recorded. Additional subjectivity and judgement have been introduced into the Company's measurement of ECL due to the heightened uncertainty associated with the impact of the economic outlook to the Company's customers, increasing our audit effort thereon. The disclosures regarding the Company's application of SLFRS 9 are key to explaining the key judgements and material inputs to the SLFRS 9 ECL results.	Our audit procedures included; • Understanding and assessing the design and implementation and operating effectiveness of management key internal controls over the approval, recording and monitoring of loans and advances and finance lease receivables, and the measurement of provisions for impairment. • Assessing the reliability of the expected credit loss model used by management in determining loss allowances, including assessing the appropriateness of the key parameters and assumptions in the expected credit loss model, including the identification of loss stages, probability of default, loss given default exposure at default, discount rate, adjustments for forward looking information and other management adjustments and assessing the reasonableness of key management judgement. • Evaluating the model methodology and key assumptions by testing the completeness and accuracy of key inputs into models and assessed the appropriateness of other assumptions. We substantially tested the completeness and accuracy of key inputs into models and assessed the appropriateness of assumptions, particularly in light of extreme volatility in economic scenarios caused by the current economic uncertainty and government responses. • Recalculating the amount of credit loss allowance for loans and advances and finance lease receivables to verify the calculation accuracy of the credit loss allowance. • We have involved our FRM specialist to assess the reasonability of the



	adjustments made by the Company to the forward looking macro-economic factors and assumptions used in the ECL model. • We involved our FRM specialist to assess the logic and compilation of the overdue information of loans and advances, finance lease receivables and hire purchase receivables. • Assessing the adequacy of the appropriateness of related disclosures in the financial statements using our understanding obtained from our testing and against the requirements of Sri Lanka Accounting Standards
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02. IT systems and controls over financial reporting

Risk Description	Our response
The Company's businesses utilize many complex, interdependent Information Technology (IT) systems to process and record a high volume of transactions. The controls over access and changes to IT systems are critical to the recording of financial information and the preparation of financial statements which provides a true and fair view of the Company's financial position and performance. The IT systems and controls, as they impact the recording and reporting of financial transactions, is a key audit matter as our audit approach could significantly differ depending on the effective operation of the Company's IT controls.	We worked with our internal IT specialists to perform audit procedures to test the technology control environment for key IT applications (systems) used in processing significant transactions and recording balances in the general ledger. We also tested automated controls embedded within these systems which link the technology-enabled business processes. Our further audit procedures included: • Assessing the design, implementation, and operating effectiveness of key internal controls over the information technology in relation to financial accounting and reporting systems, including system access and system change management, monitor system integrity, program development and computer operations. • Examining the framework of governance over the Company's IT organization and the controls over program development and changes, access to programs and data and IT operations, including compensating controls when required. • Evaluating the design, implementation and operating effectiveness of the significant accounts related to IT process controls by assessing the operating effectiveness of IT application controls by assessing the



	operating effectiveness of certain automated controls and system calculations which are relevant to the company's compliance activities and assessing the consistency of data transmission and data migration. • Assessing the availability and stability of key operating systems, taking into consideration the rapid development of business types and transactions volumes as well as IT projects that have a significant impact on business continuity. • On sample basis, re-performed selected automated computations and compared our results with those from the system and the general Ledger. • On sample basis, testing the access rights given to staff by checking them to approved records and inspecting the reports over the granting and removal of access rights • Testing preventative controls designed to enforce segregation of duties between users within particular systems.
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Other matter

The financial statements of the Company as at and for the year ended 31 March 2024 were audited by another auditor who expressed an unmodified opinion on those statements on 12 June 2024.

Other Information

Management is responsible for the other information. The other information comprises the information included in the Annual report but does not include the financial statements and our auditors' report thereon. The Annual report is expected to be made available to us after the date of this auditors' report.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the Annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.



Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.



- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3707.


CHARTERED ACCOUNTANTS
Colombo, Sri Lanka
05 June 2025

ABANS FINANCE PLC
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
For the year ended 31 March,

	Notes	2025 Rs.	2024 Rs.
Income	5	3,457,209,812	2,863,207,931
Interest Income	5.1	3,032,532,615	2,606,301,957
Interest Expense	5.2	(941,158,915)	(1,393,853,695)
Net Interest Income		2,091,373,700	1,212,448,262
Fee and Commission Income	6.1	350,540,958	208,700,499
Fee and Commission Expense	6.2	(34,838,272)	(30,402,970)
Net Fee and Commission Income		315,702,686	178,297,529
Net Gain/(Loss) from Trading	7	39,151,386	31,415,061
Other Operating Income (net)	8	34,984,853	16,790,414
Total Operating Income		2,481,212,625	1,438,951,266
Credit Loss Expense on Financial Assets	9	(408,337,325)	(382,424,952)
Net Operating Income		2,072,875,300	1,056,526,314
Operating Expenses			
Personnel Costs	10	(569,215,317)	(383,236,706)
Depreciation & Amortization	11	(80,117,199)	(74,662,134)
Other Operating Expenses	12	(472,176,408)	(384,579,616)
Operating Profit before Taxes on Financial Services		951,366,376	214,047,858
Taxes on Financial Services	13	(247,738,710)	(104,635,017)
Profit before Taxation from Operations		703,627,666	109,412,841
Provision for Income Taxation	14.1	(277,872,043)	(5,074,791)
Profit for the Year		425,755,623	104,338,050
Other Comprehensive Income (OCI)			
Items that will not be reclassified to profit or loss			
Actuarial Gains/(Losses) on Defined Benefit Plan	36.1	(10,589,044)	3,468,893
Deferred Tax Effect on Actuarial Gains/(Losses)	14.1	3,176,713	(1,040,668)
		(7,412,331)	2,428,225
Items that will be reclassified to profit or loss			
Surplus from Revaluation of Property, Plant & Equipment	28.1	7,145,000	3,412,500
Deferred Tax Effect on Revaluation of Property, Plant & Equipment	14.1	(2,143,500)	(1,023,750)
		5,001,500	2,388,750
Other Comprehensive (Loss) /Profit for the Year, Net of Tax		(2,410,831)	4,816,975
Total Comprehensive Income for the Year		423,344,792	109,155,025
Earnings Per Share : Basic / Diluted (Rs.)	15.1	5.78	1.42

Accounting Policies and Notes from pages 11 to 77 form an integral part of these Financial Statements.

ABANS FINANCE PLC
STATEMENT OF FINANCIAL POSITION
As at 31 March,

	Notes	2025 Rs.	2024 Rs.
Assets			
Cash and Bank Balances	16	315,577,083	160,835,567
Placement With Banks	17	469,476,605	1,266,431,226
Repurchase Agreements	18	4,403,264	315,294,233
Loans and Advances	19	1,272,403,552	915,609,768
Lease Rentals Receivable & Stock out on Hire	20	9,797,524,125	6,775,412,023
Financial Investments at Fair Value through P&L	21	317,071,437	591,848,876
Equity Instruments at Fair Value through OCI	22	80,400	80,400
Debt Instruments at Amortised Cost	23	631,753,297	430,455,264
Other Financial Assets	24	142,823,271	97,810,135
Real Estate Stock	25	39,483,688	40,273,387
Other Non Financial Assets	26	86,656,745	62,438,913
Intangible Assets	27	19,469,643	22,172,554
Property, Plant & Equipment	28	208,255,870	189,209,476
Right-of- use Assets	29	179,947,895	142,449,114
Total assets		13,484,926,875	11,010,320,936
Liabilities			
Due to Banks	31	4,664,275	48,270,764
Due to Customers	32	8,449,847,230	6,366,847,674
Other Borrowed Funds	33	150,362,272	615,027,140
Other Financial Liabilities	34	958,596,511	718,032,879
Other Non Financial Liabilities	35	94,622,412	64,773,615
Current Tax Liabilities		265,712,395	58,471,051
Deferred Tax Liabilities	30	-	18,494,556
Retirement Benefit Liability	36	58,658,560	41,284,829
Total Liabilities		9,982,463,655	7,931,202,508
Shareholders' Funds			
Stated Capital	37	1,321,097,699	1,321,097,699
Retained Earnings	38.1	1,741,428,100	912,324,112
Other Reserves	38.2	439,937,422	845,696,617
Total Shareholders' Funds		3,502,463,228	3,079,118,428
Total Liabilities and Shareholders' Funds		13,484,926,875	11,010,320,936

Accounting Policies and Notes from pages 11 to 77 form an integral part of these Financial Statements.

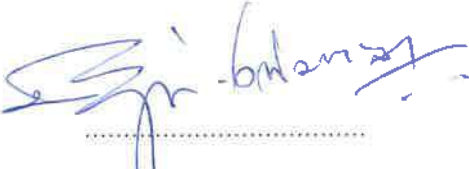
I certify that these Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.


B.C.P. Samantha
Chief Financial Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board.


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Director


.....
Director

27 May 2025
Colombo

ABANS FINANCE PLC
STATEMENT OF CHANGES IN EQUITY
For the year ended 31 March,

	Stated Capital	Statutory Reserve	Revaluation Reserve	Regulatory Loss Allowance Reserve	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 31 March 2023	1,321,097,699	294,922,322	62,677,935	755,907,049	535,358,397	2,969,963,402
Total Comprehensive Income For the Year						
Net Profit for the year	-	-	-	-	104,338,050	104,338,050
Other Comprehensive Income net of tax	-	-	-	-	2,428,225	2,428,225
Transfer to Statutory Reserve Fund	-	5,216,903	-	-	(5,216,903)	-
Revaluation Gain From Land Revaluation	-	-	2,388,750	-	-	2,388,750
Transfer from Regulatory Risk Allowance Reserve	-	-	-	(275,416,342)	275,416,342	-
Balance as at 31 March 2024	1,321,097,699	300,139,225	65,066,685	480,490,707	912,324,112	3,079,118,428
Total Comprehensive Income For the Year						
Net Profit for the year	-	-	-	-	425,755,623	425,755,623
Other Comprehensive Income net of tax	-	-	-	-	(7,412,331)	(7,412,331)
Transfer from Statutory Reserve Fund	-	21,287,781	-	-	(21,287,781)	-
Revaluation Gain From Land Revaluation	-	-	5,001,500	-	-	5,001,500
Transfer from Regulatory Risk Allowance Reserve	-	-	-	(432,048,476)	432,048,476	-
Balance as at 31 March 2025	1,321,097,699	321,427,006	70,068,185	48,442,231	1,741,428,100	3,502,463,220

Accounting Policies and Notes from pages 11 to 77 form an integral part of these Financial Statements.

ABANS FINANCE PLC
STATEMENT OF CASH FLOWS
For the year ended 31 March,

	Notes	2025 Rs.	2024 Rs.
Cash Flows From / (Used in) Operating Activities			
Profit before Income Tax Expense		703,627,666	109,412,841
Adjustments for			
Depreciation	28.2	27,188,157	20,267,582
Amortization of Intangible Assets	27	7,253,603	5,982,869
Amortization of Right to use assets	29	45,675,440	48,411,683
Interest Expense on Borrowings	5.2	64,556,676	278,172,889
Interest Expense on Lease Liability	29.2	25,114,860	26,624,358
Loss/(Profit) on early termination of Lease Assets		(1,605,133)	-
Impairment charge/(reversal) for the year	9	408,337,325	382,424,951
Decrease / (Increase) in fair value of Real stock		789,700	-
Loss/(Profit) from Sale of Unit Trust	7	(38,922,821)	(31,235,541)
Provision/(Reversal) for Defined Benefit Plans	10	13,115,855	12,309,257
Dividend Received		(228,565)	(179,520)
Operating Profit before Working Capital Changes		1,254,902,763	852,191,369
(Increase)/Decrease in Real Estate Stock		-	(1,805,185)
(Increase)/Decrease in Loans and Advances		(395,180,916)	56,803,058
(Increase)/Decrease in Lease Rentals Receivable & Stock out on hire		(3,392,062,295)	919,734,450
(Increase)/Decrease in Other Financial Assets		(45,013,136)	(228,050,906)
(Increase)/Decrease in Other Non Financial Assets		(24,217,831)	25,777,083
Increase/(Decrease) in Amounts Due to Customers		2,082,999,556	990,233,782
Increase/(Decrease) in Other Financial Liabilities		196,325,559	153,385,151
Increase/(Decrease) in Other Non Financial Liabilities		29,848,796	4,883,165
Cash Generated from / (Used in) Operations		(292,397,504)	2,773,151,968
Interest Expense Paid		(185,598,309)	(464,547,312)
Retirement Benefit Liabilities Paid	36	(6,331,169)	(4,988,076)
Taxes Paid		(88,092,041)	(158,337,983)
Dividend Received		228,565	179,520
Net Cash (Used in)/From Operating Activities		(572,190,458)	2,145,458,117
Cash Flows from / (Used in) Investing Activities			
Acquisition of Property, Plant & Equipment	28.1	(39,089,551)	(37,578,847)
Acquisition of Intangible Assets	27	(4,550,692)	(5,028,464)
Cash Flow from / (Used in) Fixed Deposits		5,609,180	106,421,799
Sale/(Purchase) of Debt Instruments at Amortised Cost		160,929,897	(552,000,000)
Net Cash Flows Generated from/(Used in) Investing Activities		122,898,833	(488,185,512)
Cash Flows from / (Used in) Financing Activities			
Cash Inflow from Other Borrowings	33.2	-	225,000,000
Cash outflow from Other Borrowings	33.2	(368,738,095)	(1,403,246,210)
Lease Capital Paid	29.2	(37,331,015)	(36,322,288)
Net Cash Flows from/(Used in) Financing Activities		(406,069,109)	(1,214,568,498)
Net Increase in Cash and Cash Equivalents		(855,360,734)	442,704,107
Cash and Cash Equivalents at the beginning of the year		2,119,034,029	1,676,329,922
Cash and Cash Equivalents at the end of the year		1,263,673,295	2,119,034,029

Accounting Policies and Notes from pages 11 to 77 form an integral part of these Financial Statements.

1. CORPORATE INFORMATION

1.1 General

Abans Finance PLC is domiciled, public limited liability company incorporated in Sri Lanka on 08 April 2005 under the Companies Act No. 17 of 1982, The Company was reregistered under the Companies Act No.7 of 2007 on 15 June 2009. It is a Licensed Finance Company registered under the Finance Business Act No.42 of 2011. The Company was listed on the Colombo Stock Exchange in 2011.

The registered office of the Company is located at No. 498, Galle Road, Colombo 03 and the principal place of business is situated at No. 456, R.A. De Mel Mawatha, Colombo 03.

1.2 Principal Activities and Nature of Operations

The Company provides a comprehensive range of financial services encompassing Acceptance of Fixed Deposits, Maintenance of saving Deposits, Providing Finance Leases, Hire Purchase, Mortgage Loans, Personal Loans and Other Credit Facilities.

1.3 Parent Enterprise and Ultimate Parent Enterprise

The Company's parent company is Abans PLC and the ultimate parent company is Abans International (Pvt) Limited which are incorporated in Sri Lanka.

1.4 Approval of Financial Statements by Directors

The Financial Statements of Abans Finance PLC for the year ended 31 March 2025 was authorized for issue in accordance with a resolution of the Board of Directors on 27 May 2025.

1.5 Directors' Responsibility Statement

The Board of Directors is responsible for the preparation and presentation of these Financial Statements as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards comprising LKASs and SLFRSs (hereafter "SLFRS").

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The Financial Statements of the Company (Statement of Financial Position and Statement of profit or loss and other Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows together with Accounting Policies and Notes) as at 31 March 2025 are prepared in accordance with Sri Lanka Accounting Standards comprising of SLFRSs and LKASs (hereafter referred as SLFRSs), as laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) further, these statements compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of these Financial Statements is also in compliance with the requirements of Finance Business Act No 42 of 2011, Listing Rules of the Colombo Stock Exchange and the CBSL guidelines.

2. BASIS OF PREPARATION(Continued)**2.2 Basis of Measurement**

The Financial Statements of the Company have been prepared on a historical cost basis, except for the following items in the Statement of Financial Position.

- Financial Assets at fair value through other comprehensive income at fair value (Note 22)
- Liabilities for defined benefit obligations are recognized at the present value of the defined benefit obligation (Note 36)
- Financial Assets at Fair value through Profit or Loss (FVPL) (Note 21)
- Freehold land, which is measured at cost at the time of acquisition subsequently, measured at revalued amounts, which are the fair values at the date of revaluation.

2.3 Functional and Presentation Currency

The Financial Statements of the Company are presented in Sri Lankan Rupees (Rs.), which is the currency of the primary economic environment in which Abans Finance PLC operates. The Financial information presented in Sri Lankan Rupees has been rounded to the nearest Rupee except where otherwise indicated as permitted by the Sri Lanka Accounting Standard LKAS 01 on "Presentation of Financial Statements". There was no change in the Company's presentation and functional currency during the year under review.

2.4 Presentation of Financial Statements

The assets and liabilities of the Company presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements. An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (noncurrent) is presented in Note 42.

2.5 Materiality and Aggregation

In compliance with LKAS 01 on Presentation of Financial Statements, each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial position only when there is an enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Income Statement unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

2.6 Comparative Information

The comparative information is re-classified whenever necessary to confirm the current year's presentation.

- Dividend Income from Investing Activities reclassified to Operating Activities.

2.7 Statement of Cash Flow

The cash flow statement has been prepared by using the indirect method in accordance with the Sri Lanka Accounting Standard - LKAS 7 (Statement of Cash Flows), whereby operating, investing and financial activities have been separately recognized. Cash and cash equivalents comprise of short-term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. Cash and cash equivalents include cash in hand, balances with banks, placements with banks (less than 3 months), net of unfavourable bank balances and securities purchased under repurchase agreement (less than three months).

2. BASIS OF PREPARATION(Continued)**2.8 Events After the Reporting Date**

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorized for issue.

No circumstances have arisen since the reporting date, which would require adjustments to, or disclosure in the financial statements, other than those disclosed in Note 46 to the Financial Statements.

2.9 Significant Accounting Judgements, Estimates and Assumptions

The preparation of Financial Statements requires the application of certain critical accounting and assumptions relative to the future. Further, it requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

a) Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based these assumptions and estimates on parameters available at the time Financial Statements were prepared. Existing circumstances and assumptions about future developments, these may change due to market changes or circumstances arising beyond the control of the Company. Such changes are taken into consideration in the assumptions when they occur.

I. Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

II. Defined Benefit Plans

The cost of defined benefit pension plan is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexity of the valuation, the underlying assumptions and their long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date as disclosed in Note 36.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government Bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Company. The sensitivity of assumptions used in actuarial valuations are set out in Note 36.5 to the Financial Statements.

2. BASIS OF PREPARATION (Continued)**2.9 Significant Accounting Judgements, Estimates and Assumptions (Continued)****III. Impairment losses on Loans and Advances (Finance Leases, Hire Purchases, Mortgage Loans, Revolving Loans and Business/ Personal Loans)**

The measurement of impairment losses under SLFRS 9 across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates driven by a number of factors, changes which can result in different levels of allowances.

Accordingly, the Company reviews its individually significant loans and advances at each financial reporting date to assess whether an impairment loss should be recorded in the income statement. In particular, management's judgment was required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates were based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

Loans and advances that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics such as instrument type.

As per SLFRS 09, the Company's expected credit loss (ECL) calculations are output of complex models with a number of underlying assumptions regarding the choice of variable inputs and their independencies. The elements of the ECL models that are considered accounting judgements and estimates include.

- The Company's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a lifetime expected credit loss (LTECL) basis and the qualitative assessment
- The segmentation of financial assets when their fair values when their ECL is assessed on a collective basis
- Development of ECLs, models, including the various formulas and the choice of inputs Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on probability of default (PDs), Exposure at default (EADs) and loss given default (LGDs).
- Selection of forward -looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models

It is the Company's policy to regularly review its models in the context of actual loss experience and adjust whenever necessary.

IV. Fair Value of Financial Instruments

The determination of fair value of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of financial instrument is described in Note 40 to the Financial Statements. The Company measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is also given in Note 40.1 to the Financial Statements.

2. BASIS OF PREPARATION (Continued)**2.9 Significant Accounting Judgements, Estimates and Assumptions (Continued)****V. Financial Assets and Financial Liabilities Classification**

The Company's accounting policies provide scope for assets and liabilities to be classified, at inception, into different accounting categories. The classification of financial instruments is given in Note 40 "Analysis of Financial Instruments by Measurement Basis".

VI. Useful life of Property, Plant and Equipment and Intangible Assets

The Company reviews the assets' residual values, useful lives and methods of depreciation and amortization of Property, Plant, Equipment and Intangible Assets at each reporting date. Judgment by the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

VII. Taxation

The Company is subject to income tax and judgment is required to determine the total provision for current, deferred, and other taxes due to the uncertainties that exist with respect to the interpretation of the applicable tax laws, at the time of preparation of these Financial Statements.

The Company has adopted the requirements of the New Inland Revenue Act 24 of 2017 which was effective from 1 April 2018 and deferred tax assets are recognized in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilized. Judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

Further, deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

VIII. Provisions, Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognized in the Statement of Financial Position but are disclosed unless they are remote. Refer Note 43.2 for more details on Commitments and Contingencies.

IX. Revaluation of Free Hold Land (Property, Plant and Equipment)

Prior to 31st March 2021, the Company's accounting policy was to measure Free Hold Land under the cost model in LKAS 16 Property, Plant and Equipment (LKAS 16) whereby, after initial recognition, free hold land was carried at its historical cost less accumulated impairment losses, if any.

At the period ended 31 March 2021 the Company changed its accounting policy to measure the Company's free hold land from a cost model to revaluation model, where free hold land is measured at fair value less accumulated impairment losses recognized after the date of revaluation ("revaluation model"), in accordance

2. BASIS OF PREPARATION (Continued)**2.9 Significant Accounting Judgements, Estimates and Assumptions (Continued)****IX. Revaluation of Free Hold Land (Property, Plant and Equipment) (Continued)**

with LKAS 16. The Company determined that the land constitute separate class of property, plant and equipment, based on their nature, characteristics and risks. The Company engages an independent valuation specialist to determine the fair value of freehold land in terms of Sri Lanka Accounting Standard of Fair Value Measurement (SLFRS 13).3.

The Company believes that a revaluation model provides more relevant information to the users of its financial statements as it is aligned to accounting practices adopted by its parent. In addition, available valuation techniques provide reliable estimates of the free hold land fair value where, the results of the revaluation were brought into the Financial Statements ensures that the carrying amount of such freehold land reflects the market price prevailed at that time.

Revaluation Model

The Company applies the revaluation model to the entire class of freehold land. Such properties are carried at a revalue amount, being the fair value at the date of revaluation less any subsequent accumulated impairment losses.

If an asset's carrying amount is increased as a result of a revaluation, the increase shall be recognised in other comprehensive income and accumulated in equity under the heading of revaluation surplus. However, the increase shall be recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss.

If an asset's carrying amount is decreased as a result of a revaluation, the decrease shall be recognised in profit or loss. However, the decrease shall be recognised in other comprehensive income to the extent of any credit balance existing in the revaluation surplus in respect of that asset. The decrease recognised in other comprehensive income reduces the amount accumulated in equity under the heading of revaluation surplus.

3. MATERIAL ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these Financial Statements of the company unless otherwise indicated.

3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement**3.1.1 Date of Recognition**

All financial assets and liabilities are initially recognised on the trade date, i.e., the date that the Company becomes a party to the contractual provisions of the instrument. This includes “regular way trades”. Regular way trade means purchases or sales of financial assets within the time frame generally established by regulation or convention in the marketplace.

3.1.2 Initial measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments. Financial instruments are initially measured at their fair value, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss (FVPL), transaction costs are added to, or subtracted from, this amount. When the fair value of financial instruments at initial recognition differs from the transaction price, the Company accounts for “Day 1 profit or loss”, as described below.

3. MATERIAL ACCOUNTING POLICIES(Continued)**3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement(Continued)****3.1.3 ‘Day 1’profit or loss**

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Company recognises the difference between the transaction price and fair value (a ‘Day 1’ profit or loss) in the Income Statement over the tenor of the financial instrument using effective interest rate method. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Income Statement when the inputs become observable, or when the instrument is derecognized.

3.1.4 Measurement categories of Financial Assets and Financial Liabilities

As per SLFRS 9, the Company classifies all its financial assets based on the business model for managing the assets and the assets’ contractual terms measured at either; On initial recognition, a financial asset is classified as measured at,

- Amortised Cost,
- Fair Value Through Other Comprehensive Income (FVOCI) or
- Fair value Through Profit or Loss. (FVPL)

The subsequent measurement of financial assets depends on their classification.

Financial liabilities are measured at amortised cost or at FVTPL when they are held for trading and derivative instruments or the fair value designation is applied.

3.1.4 (a)(i).Financial Assets at Amortised cost:

The Company only measures loans, receivables, and other financial investments, at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

Financial Assets consist of cash and bank balances, securities purchased under repurchase agreements, placement with banks, lease rentals receivable & stock out on hire, loan receivables, and other financial assets.

The details of the above conditions are outlined below.

Business model assessment

The Company determines its business model at the level that best reflect how it manages groups of financial assets to achieve its business objective. The Company’s business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as;

3. MATERIAL ACCOUNTING POLICIES(Continued)

3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement(Continued)

3.1.4 Measurement categories of Financial Assets and Financial Liabilities(Continued)

3.1.4 (a)(i).Financial Assets at Amortised cost (Continued)

Business model assessment (Continued)

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's Key Management Personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is
- Based on the fair values of the assets managed or on the contractual cash flows collected)
- The expected frequency, value and timing of sales are also important aspects of the Company's assessment

The business model assessment is based on reasonably expected scenarios without taking "worst case" or "stress case" scenarios into account.

If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The Solely Payments of Principal and Interest (SPPI) test

As a second step of its classification process, the Company assesses the contractual terms of financial to identify whether they meet the SPPI test.

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortization of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms of that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVP

3. MATERIAL ACCOUNTING POLICIES (Continued)**3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement (Continued)****3.1.4 Measurement categories of Financial Assets and Financial Liabilities (Continued)****3.1.4 (a)(ii) Equity instruments at FVOCI**

Upon initial recognition, the Company occasionally elects to classify irrevocably some of its equity investments as equity instruments at FVOCI when they meet the definition of definition of Equity under LKAS 32 Financial Instruments: Presentation and are not held for trading. Such classification is determined on an instrument-by-instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

3.1.4 (a) (iii) Debt issued and other borrowed funds

After initial measurement, debt issued and other borrowed funds are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue funds, and costs that are an integral part of the EIR. The company does not have a compound financial instrument which contains both a liability and an equity component and require separation as at the date of the issue. Currently, the Company has recorded Debt issued and other borrowed funds as Financial Liabilities at Amortised Cost in the form of term loans, short term loans, debentures.

3.1.4 (a)(iv) Fair value Through Profit or Loss.(FVPL)

All financial assets other than those classified at amortised cost or FVOCI are classified as measured at FVTPL. Financial assets at fair value through profit or loss include financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets and financial assets designated upon initial recognition at fair value through profit or loss.

Financial assets are designated at fair value through profit or loss if the company manages such investments and makes purchase and sale decisions based on their fair value in accordance with the Company's investment strategy. Attributable transaction costs and net trading profit or loss are recognised in statement of profit or loss as incurred. Financial assets at fair value through profit and loss are carried in the statement of financial position at fair value with changes in fair value recognized in the statement of profit or loss and the net trading.

Financial assets at fair value through profit or loss comprises of unit trusts.

3.1.5 Cash and Bank balances

Cash and bank balances comprise cash in hand, balances with banks, loans at call and at short notice that are subject to an insignificant risk of changes in their fair value and are used by the Company in the management of its short-term commitments. Details of cash and bank balances are given in Note 16 to Financial Statements.

3. MATERIAL ACCOUNTING POLICIES(Continued)**3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement(Continued)****3.1.6 Classification and Subsequent Measurement of Financial Liabilities**

Financial liabilities, other than loan commitments and financial guarantees, are classified as,

- (i) Financial liabilities at Fair Value through Profit or Loss (FVTPL)
 - a) Financial liabilities held for trading
 - b) Financial liabilities designated at fair value through profit or loss
- (ii) Financial liabilities at amortised cost, when they are held for trading and derivative instruments or the fair value designation is applied.

The subsequent measurement of financial liabilities depends on their classification.

i. Financial Liabilities at Fair Value Through Profit or Loss (FVTPL)

Financial Liabilities at FVTPL include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through profit or loss. Subsequent to initial recognition, financial liabilities at FVTPL are fair value, and changes therein recognized in Income Statement. No such liabilities as at the reporting date.

ii. Financial Liabilities at Amortised Cost

Financial liabilities issued by the Company that are not designated at FVTPL are classified as financial liabilities at amortised cost under “Due to banks”, “Due to customers” and “Other borrowed fund, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder. After initial measurement, financial liabilities are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue funds, and costs that are an integral part of the EIR. The Company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

Currently, the Company has recorded Due to Banks & Other borrowed funds as Financial Liabilities at Amortised Cost in the form of term loans, short term loans and securitizations.

3.1.7 Reclassifications of Financial assets and Financial Liabilities

The Company does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Company acquires, disposes of, or terminates a business line. Financial liabilities are never reclassified.

3.1.8 Derecognition of Financial Assets and Financial Liabilities**3.1.8 (a)Derecognition due to substantial modification of terms and conditions**

The Company derecognizes a financial asset, such as a loan to a customer, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan, with the difference recognised as a derecognition gain or loss, to the extent that an impairment loss has not already been recorded. The newly recognised loans are classified as Stage 1 for ECL measurement purposes, unless the new loan is deemed to be credit impaired at the date of inception.

When assessing whether or not to derecognise a loan to a customer, amongst others, the Company considers the following factors:

3. MATERIAL ACCOUNTING POLICIES(Continued)**3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement(Continued)**

- Introduction of an equity feature
- Change in counter party
- If the modification is such that the instrument would no longer meet the SPPI criterion.

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at the original EIR, the Company records a modification gain or loss, to the extent that an impairment loss has not already been recorded.

3.1.8 (b)Derecognition other than for substantial modification**3.1.8 (b)(i)Derecognition of Financial Assets**

A financial asset (or, where applicable, apart of a financial asset or part of a group of similar financial assets) is derecognized when the rights to receive cash flows from the financial asset have expired. The Company also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The company has transferred the financial asset, if and only if either:

- The Company has transferred its contractual rights to receive cash flows from the financial asset
Or
- It retains the rights to cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement.

Pass-through arrangements are transactions whereby the Company retains the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assumes a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:

- The Company has no obligation to pay amounts to the eventual recipients unless it has collected equivalent amounts from the original asset, excluding short-term advances with the right to full recovery of the amount lent plus accrued interest at market rates.
- The Company can not sell or pledge the original asset other than as security to the eventual recipients
- The Company has to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the Company is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents including interest earned, during the period between the collection date and the date of required remittance to the eventual recipients.

A transfer only qualifies for derecognition if either:

- The Company has transferred substantially all the risks and rewards of the asset
Or
- The Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

The Company considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of the consideration received (including any new asset obtained less any new liability assumed) and any cumulative gain or loss that had been recognized in other comprehensive income is recognized in profit or loss.

When the Company has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Company's continuing

3. MATERIAL ACCOUNTING POLICIES (Continued)**3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement (Continued)**

involvement, in which case, the Company also recognizes as associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration the Company could be required to pay.

If continuing involvement takes the form of a written or purchased option (or both) on the transferred asset, the continuing involvement is measured at the value the Company would be required to pay upon repurchase. In the case of a written put option on an asset that is measured at fair value, the extent of the entity's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

3.1.8 (b)(ii) Derecognition – Financial Liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognized in profit or loss.

3.1.9 Determination of Fair Value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

3.1.9 Determination of Fair Value

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 —Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level2— Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level3—Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The disclosure of fair value of financial instruments is disclosed in Note 40 to the Financial Statements.

3. MATERIAL ACCOUNTING POLICIES (Continued)**3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement (Continued)****3.1.10 Impairment of Financial Assets****3.1.10(i)a. Overview of the expected credit loss (ECL) principles**

The Company recognizes expected credit losses for all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts. Equity instruments are not subject to impairment under SLFRS 9.

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss or LTECL), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months' expected credit loss (12mECL). The Company's policies for determining if there has been a significant increase in credit risk are set out in Note 41.4.1(b)

The 12mECL is the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both LTECLs and 12mECLs are calculated on either an individual basis or collective basis, depending on the nature of the underlying portfolio of financial instruments.

The Company established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process, the Company groups its loans into Stage 1, Stage 2, Stage 3 and POCI, as described below.

Stage 1: When loans are first recognised, the Company recognises an allowance based on 12m ECLs. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from Stage 2.

3.1.10(i)a. Overview of the expected credit loss (ECL) principles (Continued)

Stage 2: When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECLs. Stage 2 loans also include facilities, where the credit risk has improved and the loan has been reclassified from Stage 3.

Stage 3: Loans considered credit-impaired. The Company records an allowance for the LTECLs.

POCI: Purchased or originated credit impaired (POCI) assets are financial assets that are credit impaired on initial recognition. POCI assets are recorded at fair value at original recognition and interest income is subsequently recognised based on a credit-adjusted EIR. ECLs are only recognised or released to the extent that there is a subsequent change in the expected credit losses.

For financial assets for which the Company has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a (partial) derecognition of the financial asset.

3. MATERIAL ACCOUNTING POLICIES (Continued)**3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement (Continued)****3.1.10 Impairment of Financial Assets(Continued)****3.1.10(i)a. Overview of the expected credit loss (ECL) principles (Continued)****b.The Calculation of Expected Credit Loss (ECL)**

The Company calculates ECLs based on four probability-weighted scenarios to measure the expected cash short falls, discounted at an approximation to the EIR. A cash short fall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive. The mechanics of the ECL calculations are outlined below and the key elements are, as follows.

PD : The probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio.

EAD: The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected draw downs on committed facilities, and accrued interest from missed payments.

LGD: The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

The mechanisms of the ECL method are summarized below.

Stage 1: The 12mECL is calculated as the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. The Company calculates the 12mECL allowance based on the expectation of a default occurring in the 12 months following the reporting date. These expected 12-month default probabilities are applied to a forecast EAD and multiplied by the expected LGD and discounted by an approximation of the original EIR.

Stage2: When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECLs. The mechanics are similar to those explained above, including the use of multiple scenarios, but PDs and LGDs are estimated over the lifetime of the instrument. The expected cash shortfalls are discounted by an approximation to the original EIR.

Stage 3: For loans considered credit-impaired, the Company recognises the lifetime expected credit losses for these loans. For such facilities set at 100% PD has been applied.

The Company recognizes loss allowances for Expected Credit Losses (ECL) on the following financial instruments that are not measured at Fair Value through Profit and Loss (FVTPL):

- financial assets that are debt instruments.
- finance lease receivables.
- financial guarantee contracts issued; and
- loan commitments issued.

No impairment loss is recognized on equity investments.

3. MATERIAL ACCOUNTING POLICIES (Continued)**3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement (Continued)****3.1.10 Impairment of Financial Assets (Continued)****c. Forward looking information**

In its ECL models, the Company relies on a broad range of forward-looking information as economic inputs, such as:

- GDP growth
- Unemployment rate
- Central Bank base rates
- Inflation

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the Financial Statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material.

Scenario Probability Weighting applied in measuring Expected Credit Loss. The assigned Probability Weightage when measuring ECL for Best case, Base case and Worst Case are 10%, 10% and 80% (2024 – 20%, 5% and 75%) respectively.

Macro-economic factors information which were used in the ECL computation for the current year are : 5 years average of GDP :-1.10% 5 years average of Inflation: 14.88%, 5 years average of Interest Rate: 12.71% and 5 years average of Unemployment 4.95%.

3.1.10 (ii)Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the income statement.

3.1.10 (iii)Renegotiated Loans

The Company makes concessions or modifications to the original terms of loans as a response to the borrower's financial difficulties, rather than taking possession or to otherwise enforce collection of collateral. The Company considers a loan renegotiated when such concessions or modifications are provided as a result of the borrower's present or expected financial difficulties and the Company would not have agreed to them if the borrower had been financially healthy. Indicators of financial difficulties include defaults on covenants, or significant concerns raised by the Credit Risk Department. Renegotiated loans may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of the terms. It is the Company's policy to monitor renegotiated loans to help ensure that future payments continue to be likely to occur. Derecognition decisions and classification between Stage 2 and Stage 3 are determined on a case-by-case basis. If these procedures identify a loss in relation to a loan, it is disclosed and managed as an impaired Stage 3 renegotiated asset until it collected or written off.

3.1.10 (iv) Write-off of Financial Assets at Amortised Cost

- Financial Assets (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where financial assets are secured, this is generally after receipt of any proceeds from the realization of security.

Financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedures for recovery of amounts due.

3 MATERIAL ACCOUNTING POLICIES (Continued)**3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement (Continued)****3.1.10 (v) Collateral Valuation**

The Company seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letter of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

To the extent possible, the Company uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have readily determinable market value are valued using models.

Nonfinancial collateral, such as real estate, is valued based on data provided by third parties such as independent valuers, Audited Financial Statements and other independent sources.

3.1.10 (vi).Collateral repossessed

The Company's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations will be transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

3.1.10 (vii).Offsetting Financial Assets and Liabilities

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. This is not generally the case with master netting agreements; therefore, the related assets and liabilities are presented gross in the Statement of Financial Position.

Income and expenses are presented on a net basis only when permitted under LKAS/SLFRS, or for gains and losses arising from a group of similar transactions such as in the group's trading activity.

3.1.11 Other Financial Assets

Other Financial Assets includes the Other Receivables and Refundable Deposits. Refundable Deposits are initially recorded at Fair value and subsequently measured and amortized cost.

3.1.12 Other Financial Liabilities

Other Financial liabilities including Due to Customer (Deposits), Due to Banks, Other borrowed funds are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the Effective Interest Rate method.

Amortised cost is calculated by taking in to account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

3. MATERIAL ACCOUNTING POLICIES (Continued)**3.1 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement (Continued)****3.1.13 Borrowings**

Borrowings obtained by the Company that are not designated at fair value through profit or loss, are classified as liabilities under 'Borrowings', where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity instruments. After initial measurement, borrowings are subsequently measured at amortised cost using the Effective Interest Rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

a. Leases**3.2.1 Identification of a Lease**

The Company assesses at the inception of a contract, whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration as per the guidelines of SLFRS 16. This assessment considers whether, throughout the period of use, the lessee has both the right to obtain all of the economic benefits from the use of the identified asset and the right to direct how and for what purpose the identified asset is used. After the assessment of whether a contract is, or contains, a lease, the Company determines whether it contains additional lease or non-lease (service) components based on the detailed guidance provided in SLFRS 16. Accordingly, the right to use of an identifying asset is a separate lease component if the lessee can benefit from the use of underlying asset either on its own or together with other resources readily available to the lessee and the underlying asset is neither highly dependent on, nor highly interrelated with, the other underlying assets in the contract.

3.2.1.1 Company as a lessee

As per SLFRS 16, when the Company has determined that a contract contains a lease component and one or more additional lease components or non-lease components, the consideration in the contract is allocated to each lease component on the basis of relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components. At the commencement date, the Company recognizes right-of-use of an asset and a lease liability which is measured at the present value of the lease payments that are payable on that date. Lease payments are discounted using the Incremental Borrowing Rate.

Right-of-use assets

The Company recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). The Right-of-use assets are initially measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

The right of use asset is subsequently depreciated using straight line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. Details of "Right-of-use asset" are given in Note29.

Lease liabilities

At the commencement date of the lease, the Company recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (less any lease incentives receivable), variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses in the period in which the event or condition that triggers the payment occurs.

3. MATERIAL ACCOUNTING POLICIES (Continued)**3.2 Leases (Continued)****3.2.1 Identification of a Lease****3.2.1.1 Company as a lessor**

Similar to above, at the commencement of the contract, the Company determines whether the contract contains a lease component and one or more additional lease components or non-lease components. When there is one or more additional lease or non-lease component, the Company allocates consideration based on the guidelines given in SLFRS 15.

3.2.1.2.1 Finance leases—Company as a lessor

As per SLFRS 16, a lease which transfers substantially all the risks and rewards incidental to ownership of an underlying asset is classified as a finance lease. At the commencement date, the Company recognises assets held under finance lease in the SOFP and present them as a lease receivable at an amount equal to the net investment in the lease. Net investment in the lease is arrived by discounting lease payments receivable at the interest rate implicit in the lease, i.e. the rate which causes present value of lease payments to equal to the fair value of the underlying asset and initial direct costs. The finance income receivable is recognised in “interest income” over the periods of the leases so as to achieve a constant rate of return on the net investment in the leases.

3.3 Real Estate Stock

Real Estate stock comprises all costs of purchase, cost of conversion and other costs incurred in bringing the real estate to its saleable condition.

Purchase Cost – Land Cost with Legal Charges,
Cost of
Conversion – Actual Development Costs.

Real Estate stocks are valued at the lower of cost and net realisable value, after making due allowances for slow moving items. Net realisable value is the price at which the real estate stocks can be sold in the ordinary course of business less estimated cost necessary to make the sale

3.4 Non-Financial Assets**3.4.1 Property, Plant & Equipment**

Property, plant & equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, Plant & Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially property and equipment are measured at cost.

Basis of Recognition and Measurement**• Cost Model**

An item of property, plant & equipment that qualifies for recognition as an asset is initially measured at its costs. Costs include expenditure that is directly attributable to the acquisition of the asset and cost is incurred subsequently to add to or replace a part of it.

3. MATERIAL ACCOUNTING POLICIES (Continued)

3.4 Non-Financial Assets (Continued)

3.4.1 Property, Plant & Equipment (Continued)

Basis of Recognition and Measurement (Continued)

- Cost Model (Continued)

The cost of self - constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalized borrowing costs. When parts of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

The Company applies the cost model to property, plant & equipment except the freehold land and records at cost of purchase or construction together with any incidental expense thereon less accumulated depreciation and any accumulated impairment losses.

Changes in the expected useful life are accounted by changing the depreciation period or method, as appropriate, and treated as changes in accounting estimates.

- Revaluation Model

The Company applies the revaluation model to the entire class of freehold land. Such properties are carried at a revalued amount, being the fair value at the date of revaluation less any subsequent accumulated impairment losses. Freehold land of the Company is revalued once in every year, if the fair values are substantially different from carrying amounts to ensure that the carrying amounts do not differ from the fair values at the reporting date. The Company has revalued its freehold land as at 31.03.2025 and details of the revaluation are given in Note 28.7 to the Financial Statements.

On revaluation of an asset, any increase in the carrying amount is recognized in Other comprehensive income and accumulated in equity, under revaluation reserve or used to reverse a previous revaluation decrease relating to the same asset, which was charged to the Income Statement. In these circumstances, the increase is recognised as income to the extent of the previous write down. Any decrease in the carrying amount is recognized as an expense in the Income Statement or debited to the other comprehensive income to the extent of any credit balance existing in the capital reserve in respect of that asset.

The decrease recognised in other comprehensive income reduces the amount accumulated in equity under revaluation reserves. Any balance remaining in the revaluation reserve in respect of an asset is transferred directly to retained earnings on retirement or disposal of the asset.

Subsequent Cost

The subsequent cost of replacing a component of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within that part will flow to the Company and its cost can be reliably measured. The costs of the day-to-day servicing property, plant and equipment are charged to the Statement of Comprehensive Income.

Repairs and Maintenance

Repairs and maintenance are charged to the profit or loss during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

3. MATERIAL ACCOUNTING POLICIES (Continued)**3.4 Non-Financial Assets (Continued)****3.4.1 Property, Plant & Equipment (Continued)****Depreciation**

The provision for depreciation is calculated by using the straight-line method over the useful life of the assets on cost or valuation of the Property & Equipment other than freehold land, commencing from when the assets are available for use. The rates of depreciations are given below;

	Asset Category	Rate of Depreciation (per annum)
•	Furniture & Fittings	12.5% -33.33%
•	Office Equipment	12.5%
•	Motor Vehicle	12.5%
•	Computer Equipment	25%

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in 'Other operating income' in the income statement in the year the asset is derecognised.

Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

3.4.2 Intangible Assets

The Company's intangible assets include the value of computer software.

Basis of Recognition

An intangible asset is recognised only when its cost can be measured reliably, and it is probable that the expected future economic benefits that are attributable to it will flow to the company in accordance with the Sri Lanka Accounting Standard LKAS 38 on Intangible Assets.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses if any.

Subsequent Expenditure

Subsequent expenditure on Intangible Asset is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful Economic life, Amortization and Impairment

The useful lives of intangible assets are assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement in the expense category consistent with the function of the intangible asset.

3. MATERIAL ACCOUNTING POLICIES(Continued)**3.4 Non-Financial Assets(Continued)****Intangible Assets****Amortization**

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual value over their estimated useful life as follows:

Asset Category	Useful life
Computer software	10 Years

The residual value of the intangible asset is zero.

The unamortized balances of Intangible assets with finite lives are reviewed for impairment whenever there is an indication for impairment and recognised in profit or loss to the extent that they are no longer probable of being recovered from the expected future benefits.

Derecognition

Intangible assets are derecognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on derecognition of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognised.

3.4.2 Impairment of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset or Cash Generating unit's (CGU) fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

3.5 Retirement Benefit Obligations**3.5.1 Defined Benefit Plan - Gratuity**

All the employees of the Company are eligible for gratuity under the Payment of Gratuity Act No.12 of 1983, at the rate of one half of the Gross Salary applicable to the last month of the financial year in which the employment is terminated or resigned, for each year of completed service, for those who have served in excess of 5 years.

The Company measures the present value of the promised retirement benefits for gratuity which is a defined benefit plan with the advice of an independent professional actuary using projected unit credit actuarial cost method as required by Sri Lanka Accounting Standard – LKAS 19 on “Employee Benefits”.

The item is stated under other liabilities in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains and losses are recognized in Other Comprehensive Income in the year in which they arise

3. MATERIAL ACCOUNTING POLICIES(Continued)**3.5 Retirement Benefit Obligations (Continued)****Interest Cost**

Interest cost is the expected increase due to interest during the period in the present value of the planned liabilities because the benefits are one year closer to settlement

Recognition of Past Service Cost (Applicable only when a plan has been changed)

Past Service Costs are recognized as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

3.5.2 Defined Contribution Plans

The Company also contributes defined contribution plans. The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and is recorded as an expense under 'Personnel expenses'. Unpaid contributions are recorded as a liability.

The Company contributes to the following Schemes:

Employees' Provident Fund

The Company and employees contribute 12% and 8% respectively of the employee's total earnings (as defined in the Employees' Provident Fund) to the Employees' Provident Fund.

Employees' Trust Fund

The Company contributes 3% of the employee's total earnings (as defined in the Employees' Trust Fund) to the Employees' Trust Fund.

3.6 Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with Sri Lanka Accounting Standard-LKAS 37 on 'provision, contingent liabilities and contingent assets.

The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligations at that date.

When the Company expects some or all of a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the reimbursement is virtually certain.

The expense relating to any provision is presented in the income statement net of any reimbursement.

3. MATERIAL ACCOUNTING POLICIES (Continued)**3.7 Recognition of Interest Income Interest Expense****3.7.1 Interest income and Interest Expense**

Under SLFRS 9, interest income and interest expense is recorded using the effective interest rate (EIR) method for all financial instruments measured at amortised cost. The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability.

The EIR (and therefore, the amortised cost of the asset/liability) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Company recognizes interest income/expense using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges)

If expectations regarding the cash flows on the financial asset/liability are revised for reasons other than credit risk, the adjustment is booked as a positive or negative adjustment to the carrying amount of the asset in the Statement of Financial Position with an increase or reduction in interest income/interest expense. The adjustment is subsequently amortised through Interest income/Interest expense in the income statement.

When a financial asset becomes credit-impaired (asset out in Note 41 and is, therefore, regarded as 'Stage3', the Company calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial assets cures and is no longer credit-impaired, the Company reverts to calculating interest income on a gross basis.

Interest income on all trading assets and financial assets mandatorily required to be measured at FVPL is recognized using the contractual interest rate under net interest income.

3.7.2 Interest Income on Overdue Rentals

Interest from overdue rentals has been accounted when they are received.

3.8 Fee and Commission Income and Expenses

Fee and commission income and expense that are integral to the effective interest rate on a financial asset or financial liability are included in the effective interest rate.

Fee and Commission income – including account Credit related fees & commission, Service charge, Transfer Fees and other fees income – is recognised as the related services are performed. If a loan commitment is not expected to result in the draw-down of a loan, then the related loan commitment fee is recognized on a straight-line basis over the commitment period.

Fees earned for the provision of services over a period of time are accrued over that period

Other fee and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received.

3.9 Dividend Income

Dividend income is recognized when the right to receive income is established.

3. MATERIAL ACCOUNTING POLICIES (Continued)**3.10 Income from Government Securities and Securities purchased under Re-Sale Agreement**

Discounts/ premium on Treasury bills & Treasury bonds are amortised over the period to reflect a constant periodic rate of return. The coupon interest on treasury bonds is recognised on an accrual basis. The interest income on securities purchased under resale agreement is recognised in the Income Statement on an accrual basis over the period of the agreement.

3.11 Net Trading Income

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities 'held for trading' other than interest income.

3.12 Recovery of Bad Debts Written Off

Recovery of amounts written off as bad and doubtful debts is recognised upon received.

3.13 Personnel Expenses

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short term cash bonus or profit – sharing plans if the Company has a present legal or constructive obligation to pay all employee benefits relating to employee services in the current and prior periods and the obligation can be estimated reliably.

3.14 Other Operating Expenses

Other operating expenses are recognized in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earnings of the specific items of the income. All the expenditure incurred in the running business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Statement of Comprehensive Income in arriving at the profit of the year.

3.15 Taxes

As per Sri Lanka Accounting Standard – LKAS 12 (Income Taxes), tax expense is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxation. Income tax expense is recognised in the Income Statement, except to the extent it relates to items recognised directly in equity or other comprehensive income in which case it is recognised in equity or in other comprehensive income.

3.15.1 Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year, using the tax rates and tax laws enacted or substantially enacted on the reporting date and any adjustment to the tax payable in respect of prior years.

Accordingly, The Company computed the income tax liability for the year of assessment 2024/2025 by applying the income tax rate of 30%.

3. MATERIAL ACCOUNTING POLICIES (Continued)**3.15.2 Deferred tax**

Deferred tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date. Deferred income tax relating to items recognized directly in equity is recognised in equity and not in the Statement of Comprehensive Income.

3.15.3 Value Added Tax on Financial Services (VATFS) and Social Security Contribution Levy (SSCL)

VAT on Financial Services is calculated in accordance with Value Added Tax Act No 14 of 2002 and subsequent amendments there to. The base for the computation of Value Added Tax on Financial Services is the accounting profit before VATFS and income tax adjusted for the economic depreciation and emoluments of employees including cash, non-cash benefits and provisions relating to terminal benefits, computed on prescribed rate.

Social Security Contribution Levy (SSCL) shall be paid by any person carrying on the business of supplying financial services, on the liable turnover specified in the Second Schedule of the Social Security Contribution Levy Act No.25 of 2022 (SSCL Act), at the rate of 2.5%, with effect from 01 October 2022. SSCL is payable on 100% of the Value Addition attributable to financial services.

3.16 Segment Reporting

The Company's segmental reporting is based on the following operating segments identified based on products and services;

- Leasing
- Hire Purchase
- Term Loans
- Others

A segment is a distinguishable component of a Company that is engaged in providing products and services. (Business segment, which is subject to risks and rewards that are different from those of other segments). Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. The accounting policies adopted for segment reporting are those accounting policies adopted for preparing the financial statements of the Company.

3. MATERIAL ACCOUNTING POLICIES(Continued)**3.17 Regulatory provisions****a. Statutory Reserve Fund**

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly, 5% of the net profit for the year transferred to Reserve Fund as required by Section 3 (b) ii of the said Direction.

b. Deposit Insurance and Liquidity Support Scheme

In terms of the Finance Company's Act Direction No 2 of 2010 "Insurance of Deposit Liabilities" issued on 27 September 2010 and subsequent amendments there to all Registered Finance Companies are required to insure their deposit liabilities in the Deposit Insurance Scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 1 of 2010 issued under Sections 32E of the Monetary Law Act with effect from 1st October 2010. The said scheme was renamed as the "Sri Lanka Deposit Insurance and Liquidity Support Scheme" as per the Sri Lanka Deposit Insurance and Liquidity Support Scheme Regulation No 1 of 2013.

Deposits to be insured include demand, time and savings deposit liabilities and exclude the following;

- a) Deposit liabilities to member institutions
- b) Deposit liabilities to Government of Sri Lanka
- c) Deposit liabilities to Directors, key management personnel and other related parties as defined in Banking Act Direction No 11 of 2007 on Corporate Governance of Licensed Commercial Banks
- d) Deposit liabilities held as collateral against any accommodation granted
- e) Deposit liabilities falling within the meaning of abandoned property in terms of the Banking Act and dormant deposits in terms of the Finance Companies Act funds of which have been transferred to Central Bank of Sri Lanka

Registered Finance Companies are required to pay a premium of 0.15% on total amount of eligible deposits as at end of the month with in a period of 15 days from the end of the respective month

c. Crop Insurance Levy (CIL)

In terms Section 15 of the Finance Act No 12 of 2013 all institutions under the purview of Banking Act No 30 of 1988, Finance Companies Act No 78 of 1988 and Regulation of Insurance Industry Act No 43 of 2000 are required to pay 1% of the profit after tax as Crop Insurance Levy to the National Insurance Trust Fund Board effective from 01 April 2013.

d. Regulatory Loss Allowance Reserve

Where the loss allowances for expected credit loss falls below the regulatory provisions (i. e., provision and accrued interest in NPL) Company shall maintain the additional loss allowance in a non-distributable regulatory loss allowance reserve (RLAR) through and appropriation of its retained earnings. The additional loss allowance shall be maintain in the RLAR at all times. When loss allowance for expected credit losses exceeds the regulatory provision, the Company may transfer the excess amount in the RLAR to its retained earnings. Company has provided the difference of regulatory provision and impairment provision as per SLFRS 09.

3. MATERIAL ACCOUNTING POLICIES(Continued)**3.18 Earnings per Share (EPS)**

Basic EPS is calculated by dividing the net profit or loss attributable to ordinary equity share holders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary share holders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares if any.

4. STANDARDS ISSUED BUT NOT YET EFFECTIVE

The Institute of Chartered Accountants of Sri Lanka has issued a number of new amendments to Sri Lanka Accounting Standards (SLFRSs/LKASs) that are effective for annual periods beginning on or after the 1 April 2025. Accordingly, the Company has not early adopted these amendments in preparing these Financial Statements.

- **SLFRS S1 General requirements for disclosure of sustainability related financial information and SLFRS S2 Climate-related disclosures**

- **SLFRS S1 General requirements for disclosure of sustainability related financial information**

SLFRS S1 General Requirements for disclosure of sustainability related financial information requires an entity to disclose information about its sustainability-related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity.

- **SLFRS S2 Climate-related disclosures**

SLFRS S2 Climate-related Disclosures Climate-related disclosures is to require an entity to disclose information about its climate-related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity.

- These standards will become effective for the Company from 1 April 2025. No financial impact is expected on the Company except for additional disclosures

- **Other accounting standards**

The following new and amended accounting standards are not expected to have a significant impact on the Company's financial statements.

- Lack of Exchangeability (Amendments to LKAS 21)
 - Classification and Measurement of Financial Instruments (Amendments to SLFRS 9 and SLFRS 7)

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

5. INCOME	2025 Rs.	2024 Rs.
Interest Income	3,032,532,615	2,606,301,957
Fee & Commission Income	350,540,958	208,700,499
Net Gain/(Loss) from Trading	39,151,386	31,415,061
Other Operating Income	34,984,853	16,790,414
	3,457,209,812	2,863,207,931
5.1 Interest Income		
Loans and Advances	178,590,386	193,622,499
Lease Rentals Receivable & Stock out on Hire	2,711,888,243	2,183,779,944
Financial Investments in Government Securities	78,646,389	120,355,126
Interest Income on Debt Securities	-	4,734,247
Other Financial Assets	13,825	41,324
Placement with Banks	63,393,772	103,768,817
Total Interest Income	3,032,532,615	2,606,301,957
5.2 Interest Expenses	2025 Rs.	2024 Rs.
Due to Banks	198,583	18,396
Due to Customers	851,487,379	1,089,056,447
Other Borrowed Funds	64,358,093	278,154,493
Leased Assets (Note 29.2)	25,114,860	26,624,359
Total Interest Expenses	941,158,915	1,393,853,695
6. NET FEE AND COMMISSION INCOME	2025 Rs.	2024 Rs.
6.1 Fee and Commission Income		
Credit Related Fees and Commissions	191,766,771	111,224,611
Service Charge	115,209,005	49,194,783
Transfer Fees	42,987,289	47,558,308
Other Fees	577,893	722,797
Total Fee and Commission Income	350,540,958	208,700,499
6.2 Fee and Commission Expenses		
Brokerage Fees	34,838,272	30,402,970
Total Fee and Commission Expenses	34,838,272	30,402,970
Net Fee and Commission Income	315,702,686	178,297,529
7. Net Gain/(Loss) from Fair Value Changes	2025 Rs.	2024 Rs.
7.1 Net Gain/(Loss) from Fair Value Through OCI		
Dividend Income from Financial Investments	228,565	179,520
7.2 Net Gain/(Loss) from Fair Value Through PL		
Income- Unit trust investments	38,922,821	31,235,541
	39,151,386	31,415,061

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

8. OTHER OPERATING INCOME	2025 Rs.	2024 Rs.
Bad Debt Recoveries	13,352,111	7,065,248
Others	21,632,742	9,725,166
Total Other Operating Income	34,984,853	16,790,414

9. CREDIT LOSS EXPENSE ON FINANCIAL ASSETS AND OTHER LOSSES

9.1 The table below shows the expected credit loss (ECL) charges for Financial Instruments for the year 2024/2025 recorded in the income statement.

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Loans and Advances	743,288	(6,138,668)	43,782,512	38,387,132
Lease Rentals Receivable & Stock Out on Hire	67,808,029	(2,607,013)	304,749,177	369,950,193
	68,551,317	(8,745,681)	348,531,689	408,337,325

9.2 The table below shows the expected credit loss (ECL) charges for Financial Instruments for the year 2023/2024 recorded in the income statement.

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Loans and Advances	6,100,552	3,697,127	37,437,995	47,235,674
Lease Rentals Receivable & Stock Out on Hire	(16,494,879)	(36,641,194)	388,325,351	335,189,278
	(10,394,327)	(32,944,067)	425,763,346	382,424,952

10. PERSONNEL COSTS	2025 Rs.	2024 Rs.
Salaries and Bonus	415,491,241	257,778,057
Employer's Contribution to EPF	36,402,038	29,186,869
Employer's Contribution to ETF	9,100,510	7,296,718
Gratuity Charge/ (Reversals) for the Year (Note 36.1)	13,115,855	12,309,257
Other Allowances & Staff Related Expenses	95,105,673	76,665,805
	569,215,317	383,236,706

11. DEPRECIATION & AMORTIZATION	2025 Rs.	2024 Rs.
Depreciation of Property Plant & Equipment	27,188,157	20,267,582
Amortization of intangible assets	7,253,602	5,982,869
Depreciation of Leased Assets (Note 29.1)	45,675,440	48,411,683
	80,117,199	74,662,134

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

12. OTHER OPERATING EXPENSES

	2025 Rs.	2024 Rs.
Directors' Emoluments	13,305,000	7,200,000
Auditors Remuneration	3,174,000	1,628,750
- Audit		
-Non Audit	5,297,302	400,000
Professional & Legal Expenses	6,067,212	10,970,220
Office Administration & Establishment Expenses	252,756,786	211,493,642
Advertising & Business Promotion Expenses	58,003,192	36,821,569
Deposit Insurance premium	10,331,773	8,686,547
Others	123,241,143	107,378,888
	472,176,408	384,579,616

13. TAXES ON FINANCIAL SERVICES

	2025 Rs.	2024 Rs.
Value added tax on financial services for the year	208,356,638	78,452,731
Under/ (Over) provision of current taxes in respect of previous years	1,139,308	17,775,757
	209,495,946	96,228,488
Social Security Contribution Levy	38,242,764	8,406,529
	247,738,710	104,635,017

14. TAXATION

14.1 The major components of income tax expense for the years ended 31 March are as follows.

	2025 Rs.	2024 Rs.
(A) Statement of Profit or Loss		
Current Income Tax		
Income Tax for the year	299,847,532	49,663,979
Under/ (Over) provision of current taxes in respect of previous years	(4,514,147)	(47,768,304)
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Note 30)	(17,461,342)	3,179,116
	277,872,043	5,074,791
(B) Other Comprehensive Income		
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Note 30)	(1,033,213)	2,064,418
	(1,033,213)	2,064,418
(C) Total Tax Expense for the year	276,838,830	7,139,209

14.2 Reconciliation of Accounting Profit and Taxable Income

A reconciliation between the tax expense and the accounting profit multiplied by the tax rate as per the Inland Revenue Act for the Years ended 31 March 2025 and 2024 is as follows.

	2025 Rs. Total	2024 Rs.
Accounting Profit Before Income Taxation	703,627,666	109,412,841
At the statutory income tax rate of 30%	211,088,300	32,823,852
Tax Effect on		
Disallowable Expenses	223,090,621	180,167,663
Tax Deductible Expenses	(134,262,819)	(163,273,682)
Non-taxable Income/ Losses	(68,570)	(53,856)
Claim on Carried Forward Tax Losses	-	-
Income Tax	299,847,532	49,663,977
Under/ (Over) provision of current taxes in respect of previous years	(4,514,147)	(47,768,304)
Deferred Taxation Charge/(Reversal) (Note 30)	(17,461,342)	3,179,116
Total Tax Expense (Note 14.1 (A))	277,872,043	5,074,789
Effective tax rate	39%	5%

For the year ended 31 March,

15. EARNINGS PER ORDINARY SHARE

The Company presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic earnings per share is calculated by dividing the profit or loss attributable to ordinary equity share holders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity share holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any.

15.1 Earnings per Share: Basic / Diluted	2025 Rs.	2024 Rs.
Amount used as the numerator		
Profit after tax for the year attributable to equity holders (Rs.)	425,755,623	104,338,050
No. of ordinary shares used as the denominator		
Number of ordinary shares (Note 37.1)	73,693,171	73,693,171
Basic / diluted earnings per ordinary share (Rs.)	<u>5.78</u>	<u>1.42</u>

There were no potentially diluted shares as at 31st March 2025 and as at 31st March 2024 and there have been no transaction involving ordinary shares / potential ordinary shares as at reporting date which would require restatement of EPS.

16. CASH AND BANK BALANCES	2025 Rs.	2024 Rs.
Cash in Hand	43,173,867	54,150,223
Balances with Banks	272,403,216	106,701,564
Less: Allowance for expected credit losses	-	(16,220)
	<u>315,577,083</u>	<u>160,835,567</u>

16.1 The movement in provision for expected credit losses are as follows.

	2025		2024	
	Rs. Stage 01	Rs. Total	Rs. Stage 01	Rs. Total
Balance as at 01 April	16,220	16,220	16,220	16,220
Charge/(Reversal) to Income Statement	(16,220)	(16,220)	-	-
Balance as at 31 March	<u>-</u>	<u>-</u>	<u>16,220</u>	<u>16,220</u>

16.2 Cash and Cash Equivalents in the Cash Flow Statement	2025 Rs.	2024 Rs.
Cash and Bank Balances	315,577,083	160,851,787
Bank Overdrafts	(4,664,275)	(48,270,764)
Treasury Bills and Repurchase Agreements	483,386,196	745,749,503
Placement with Banks	469,374,291	1,260,703,503
Total Cash and Cash Equivalents for the purpose of Cash Flow Statements	<u>1,263,673,295</u>	<u>2,119,034,029</u>

For the year ended 31 March,

17. PLACEMENT WITH BANKS

	2025 Rs.	2024 Rs.
Fixed Deposit Investments	469,476,605	1,266,466,885
Less: Allowance for expected credit losses	-	(35,659)
	469,476,605	1,266,431,226

17.1 The movement in provision for expected credit losses are as follows.

	2025		2024	
	Rs. Stage 01	Rs. Total	Rs. Stage 01	Rs. Total
Balance as at 01 April	35,659	35,659	35,659	35,659
Charge/(Reversal) to Income Statement	(35,659)	(35,659)	-	-
Balance as at 31 March	-	-	35,659	35,659

Fixed Deposit Investments include Investments amounting to Rs.65,860,494,37/- that have been Pledged for facilities obtained from Banks.

18. SECURITIES PURCHASED UNDER REPURCHASE AGREEMENT

	2025 Rs.	2024 Rs.
Repurchased Agreements	4,403,264	315,294,233
	4,403,264	315,294,233

19. LOANS AND ADVANCES

	2025 Rs.	2024 Rs.
Real Estate Loans	47,513	47,513
Mortgage Loans	139,230,662	148,259,074
Personnel Loans	57,751,196	97,632,963
Loans against Fixed Deposits	151,953,132	209,627,206
Staff Loans	31,865,359	42,778,263
Revolving Loans	71,883,469	66,848,003
Auto draft	525,695,431	216,107,885
Business Loans	188,077,270	204,537,615
Gold Loan	29,083,192	-
Other Loans	454,016,973	270,505,292
	1,649,604,197	1,256,343,814
Other Charges Receivable	44,619,189	41,903,979
	1,694,223,386	1,298,247,793
Less : Allowance for Impairment Losses (Note 19.2)	(421,819,834)	(382,638,025)
Net Loans and Advances	1,272,403,552	915,609,768

19.1 Analysis of Loans and Advances on Maximum Exposure to credit Risk as at 31 March 2025

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Loans and Advances	-	-	368,544,913	368,544,913
Loans and Advances subject to Collective Impairment	958,211,208	202,662,410	164,804,855	1,325,678,473
Allowances for Expected Credit Losses	(18,511,631)	(8,465,854)	(394,842,349)	(421,819,834)
	939,699,577	194,196,556	138,507,419	1,272,403,552

Analysis of Loans and Advances on Maximum Exposure to credit Risk as at 31 March 2024

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Loans and Advances	-	-	385,246,979	385,246,979
Loans and Advances subject to Collective Impairment	596,583,263	133,801,466	182,616,085	913,000,814
Allowances for Expected Credit Losses	(17,768,343)	(14,604,523)	(350,265,159)	(382,638,025)
	578,814,920	119,196,943	217,597,905	915,609,768

19.2 Allowance for Impairment Losses

	2025	2024
As at 01 April	382,638,025	335,402,351
Reclassification during the year	794,677	-
Charge / (Reversal) for the year	38,387,132	47,235,674
As at 31 March	421,819,834	382,638,025
Individual Impairment	258,506,591	293,491,679
Collective Impairment	163,313,243	89,146,346
	421,819,834	382,638,025
	368,544,913	385,246,979

Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance.

For the year ended 31 March,

19. LOANS AND ADVANCES (Contd...)

19.3 Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2024	17,768,344	14,604,522	350,265,159	382,638,025
Reclassification during the year	-	-	794,677	794,677
Charge/(Reversal) to Income Statement	743,288	(6,138,668)	43,782,512	38,387,132
Balance as at 31 March 2025	18,511,632	8,465,854	394,842,348	421,819,834

During the year company has reclassified the provision on aged facilities amounting to Rs.794,677/- to the allowance for expected credit loss which was previously presented under interest suspense under loan and advances.

Expected credit loss amounting to Rs.284,476,772/- is associated with legal enforcement activities as at 31 March 2025.

Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2023	11,667,792	10,907,395	312,827,164	335,402,351
Charge/(Reversal) to Income Statement	6,100,552	3,697,127	37,437,995	47,235,674
Balance as at 31 March 2024	17,768,344	14,604,522	350,265,159	382,638,025

20. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	2025 Rs.	2024 Rs.
Gross rentals receivables		
-Lease Rentals	14,564,962,465	9,887,377,983
-Amounts Receivable form Hirers	21,998,135	22,179,459
	14,586,960,600	9,909,557,442
Unearned Income	(3,980,424,810)	(2,551,131,513)
Net rentals receivables	10,606,535,790	7,358,425,929
Suspended VAT	-	132,908
	10,606,535,790	7,358,558,837
Other Charges Receivable	219,642,221	272,432,540
	10,826,178,011	7,630,991,377
Allowance for Impairment Losses (Note 20.1)	(1,028,653,886)	(855,579,354)
Total Net Rentals Receivable	9,797,524,125	6,775,412,023

20.1 Analysis of Lease Rental Receivable & Stock Out on Hire on Maximum Exposure to credit Risk as at 31 March 2025

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Lease Receivables	-	-	94,838,255	94,838,255
Lease Rental Receivable & Stock out of Hire subject to Collective Impairment	7,533,443,784	1,702,443,322	1,495,452,650	10,731,339,756
Allowances for Expected Credit Losses	(197,069,552)	(71,313,448)	(760,270,886)	(1,028,653,886)
	7,336,374,232	1,631,129,874	830,020,019	9,797,524,125

Analysis of Lease Rental Receivable & Stock Out on Hire on Maximum Exposure to credit Risk as at 31 March 2024

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Lease Receivables	-	-	114,174,212	114,174,212
Lease Rental Receivable & Stock out of Hire subject to Collective Impairment	3,844,863,636	1,319,887,434	2,352,066,096	7,516,817,166
Allowances for Expected Credit Losses	(129,261,522)	(73,920,461)	(652,397,371)	(855,579,354)
	3,715,602,114	1,245,966,973	1,813,842,937	6,775,412,024

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

20. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE (Contd...)

20.2 Allowance for Impairment Losses	2025 Rs.	2024 Rs.
As at 01 April	855,579,354	763,242,481
Reclassification during the year	30,437,719	-
Charge / (Reversal) for the year	369,950,193	335,189,278
Amounts written off	(227,313,380)	(242,852,404)
As at 31 March	1,028,653,887	855,579,354
Individual Impairment	81,634,620	96,238,445
Collective Impairment	947,019,266	759,340,909
	1,028,653,886	855,579,354
Gross amount of lease and hire purchase rental receivables individually determined to be impaired, before deducting the individually assessed impairment allowance	94,838,255	114,174,212

20.3 Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 31 March 2024	129,261,523	73,920,461	652,397,370	855,579,354
Reclassification during the year	-	-	30,437,718	30,437,718
Charge/(Reversal) to Income Statement	67,808,029	(2,607,013)	304,749,177	369,950,194
Amounts written off	-	-	(227,313,380)	(227,313,380)
Balance as at 31 March 2025	197,069,552	71,313,448	760,270,885	1,028,653,886

During the year company has reclassified the provision on aged facilities amounting to Rs.30,437,719/- to the allowance for expected credit loss which was previously presented under interest suspense under loan and advances.

Expected credit loss amounting to Rs.375,695,005/- is associated with legal enforcement activities as at 31 March 2025.

Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 31 March 2023	145,756,402	110,561,656	506,924,423	763,242,481
Charge/(Reversal) to Income Statement	(16,494,879)	(36,641,195)	145,472,947	92,336,873
Balance as at 31 March 2024	129,261,523	73,920,461	652,397,370	855,579,354

20.4 As at 31 March 2025	Within one year Rs.	1 - 5 years Rs.	Over 5 years Rs.	Total Rs.
Gross rentals receivables				
-Lease Rentals	7,651,590,547	6,913,371,918	-	14,564,962,465
-Amounts Receivable form Hirers	21,155,249	842,886	-	21,998,135
	7,672,745,796	6,914,214,804	-	14,586,960,600
Less: Unearned Income	(2,356,894,090)	(1,623,530,719)	-	(3,980,424,809)
Net rentals receivables	5,315,851,706	5,290,684,085	-	10,606,535,791
				10,606,535,791
Other Charges Receivable				219,642,220
				10,826,178,011
Less : Allowance for Impairment Losses				(1,028,653,886)
Total net rentals receivable				9,797,524,125

As at 31 March 2024	Within one year Rs.	1 - 5 years Rs.	Over 5 years Rs.	Total Rs.
Gross rentals receivables				
-Lease Rentals	5,721,866,751	4,165,511,232	-	9,887,377,983
-Amounts Receivable form Hirers	20,644,899	1,534,559	-	22,179,459
	5,742,511,650	4,167,045,791	-	9,909,557,442
Less: Unearned Income	(1,652,466,187)	(898,665,326)	-	(2,551,131,513)
Net rentals receivables	4,090,045,463	3,268,380,465	-	7,358,425,929
				132,909
Less : Suspended VAT				7,358,558,838
Other Charges Receivable				272,432,540
				7,630,991,378
Less : Allowance for Impairment Losses				(855,579,354)
Total net rentals receivable				6,775,412,024

21. FINANCIAL INVESTMENTS -FAIR VALUE THROUGH PROFIT AND LOSS

	2025 Rs.	2024 Rs.
Unit trust investments	317,071,437	591,848,876
	317,071,437	591,848,876
21.1 Movement of Financial Investments -Fair Value Through Profit And Loss	2025 Rs.	2024 Rs.
As at 01 April	591,848,876	8,613,335
Purchases	766,298,740	630,000,000
Fair value gain	38,923,821	31,235,541
Withdrawal	(1,080,000,000)	(78,000,000)
As at 31 March	317,071,437	591,848,876

22. EQUITY INSTRUMENTS AT FAIR VALUE THROUGH OCI

	2025 Rs.	2024 Rs.
Credit Information Bureau-Unquoted Equities *	80,400	80,400
	80,400	80,400

* Cost is assumed to be the best approximation for the fair value of unquoted equity shares due to the absence of most recent exit prices.

*No Strategic investments were disposed of during 2025, and there were no transfers of any cumulative gain or loss within equity relating to these investments.

* During the period the amounting to Rs.228,565/- dividends has been received.

23. DEBT INSTRUMENTS AT AMORTISED COST

	2025 Rs.	2024 Rs.
Government of Sri Lanka Treasury Bills	631,753,297	430,455,264
	631,753,297	430,455,264
23.1 MOVEMENT OF DEBT INSTRUMENTS AT AMORTISED COST	2025 Rs.	2024 Rs.
As at 01 April	430,455,264	713,692,026
Purchases	2,186,914,603	1,624,460,200
Int. Income	69,559,483	84,303,038
Derecognition	(2,055,176,052)	(1,992,000,000)
As at 31 March	631,753,298	430,455,264

The Company did not have any defaults of principal or interest or breaches with respect to its debt securities during the year ended 31 March 2025 and 31 March 2024.

24. OTHER FINANCIAL ASSETS

	2025 Rs.	2024 Rs.
Reposessed Stock	31,221,535	33,828,304
Other Receivables	106,918,458	87,850,213
	138,139,993	121,678,517
Less : Allowance for Impairment Losses (Note 24.1)	(31,221,535)	(50,241,962)
	106,918,458	71,436,555
Deposit	26,489,998	21,800,014
Due From Related Parties	9,414,815	4,573,566
	142,823,271	97,810,135

Reposessed stock of the Company and the corresponding ECL allowances are grouped under Stage 3.

24.1**Allowance for Impairment Losses**

	2025 Rs.	2024 Rs.
As at 01 April	50,241,961	67,827,218
Charge / (Reversal) for the year	227,313,380	242,852,404
Amounts written off	(246,333,806)	(260,437,661)
As at 31 March	31,221,535	50,241,961
Individual Impairment	-	-
Collective Impairment	31,221,535	50,241,961
	31,221,535	50,241,961

The Contractual amount outstanding on financial assets of Rs.246,333,806/- written off during the year ended 31 March 2025 are being considered for enforcement activities.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

24. OTHER FINANCIAL ASSETS (Contd...)

24.2 Movement in Allowance for Expected Credit Loss (ECL)

	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2024	50,241,961	50,241,961
Charge/(Reversal) to Income Statement	227,313,380	227,313,380
Amounts written off	(246,333,806)	(246,333,806)
Balance as at 31 March 2025	<u>31,221,535</u>	<u>31,221,535</u>

Movement in Allowance for Expected Credit Loss (ECL)

	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2023	67,827,218	67,827,218
Charge/(Reversal) to Income Statement	242,852,404	242,852,404
Amounts written off	(260,437,661)	(260,437,661)
Balance as at 31 March 2024	<u>50,241,961</u>	<u>50,241,961</u>

25. REAL ESTATE STOCK

	2025 Rs.	2024 Rs.
Real Estate Stocks	39,483,688	40,273,387
	<u>39,483,688</u>	<u>40,273,387</u>

26. OTHER NON FINANCIAL ASSETS

	2025 Rs.	2024 Rs.
Advances	43,535,331	12,661,294
Pre-paid Staff Cost (Note 26.1)	13,597,182	21,158,135
Other Receivables	-	212,630
Pre Paid Rent Deposit	-	(67,596)
Pre-Paid Expenses	29,524,232	28,474,450
	<u>86,656,745</u>	<u>62,438,913</u>

26.1 The movement in the Pre-Paid Staff Cost(Staff Loan IFRS Adjustment)

	2025 Rs.	2024 Rs.
Balance as at 1 April	21,158,135	34,942,919
Adjustment for new grants (net of settlements)	(3,079,528)	(6,762,589)
Charge to Personnel Expenses	(4,481,425)	(7,022,195)
Balance as at 31 March	<u>13,597,182</u>	<u>21,158,135</u>

27. INTANGIBLE ASSETS

	Computer Software	
	2025 Rs.	2024 Rs.
Cost		
Cost as at 01 April	90,728,638	85,700,174
Additions	4,550,692	5,028,464
As at 31 March	<u>95,279,330</u>	<u>90,728,638</u>
Amortisation & Impairment:		
As at 1 April	68,556,084	62,573,215
Amortisation Charge for the year	7,253,603	5,982,869
As at 31 March	<u>75,809,687</u>	<u>68,556,084</u>
Net book value:		
As at 31 March	<u>19,469,643</u>	<u>22,172,554</u>

Nature and Amortization Method

Intangible Assets represent acquisition of computer software from third parties. These software are amortized over the estimated useful life of 10 years on a straight line basis.

During the financial year, the Company acquired intangible assets value of Rs.4,550,692 /- (Computer Software) (2023/2024 - Rs.5,028,464 /-).

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

28. PROPERTY, PLANT AND EQUIPMENT

28.1 Gross Carrying Amounts	Balance As at 31.03.2024 Rs.	Additions Rs.	Revaluation Gain/Loss Rs.	Disposals Rs.	Balance As at 31.03.2025 Rs.
Cost /Valuation					
Freehold Assets					
Land	117,892,500	-	7,145,000	-	125,037,500
Furniture & Fittings	83,803,208	14,443,179	-	-	98,246,387
Office Equipment	27,804,659	9,970,010	-	-	37,774,669
Motor Vehicles	9,924,000	-	-	-	9,924,000
Computer Hardware	113,783,516	14,676,362	-	-	128,459,878
Total Value of Depreciable Assets	<u>353,207,883</u>	<u>39,089,551</u>	<u>7,145,000</u>	<u>-</u>	<u>399,442,434</u>

Gross Carrying Amounts	Balance As at 31.03.2023 Rs.	Additions Rs.	Revaluation Gain/Loss Rs.	Disposals Rs.	Balance As at 31.03.2024 Rs.
Freehold Assets					
Land	114,480,000	-	3,412,500	-	117,892,500
Furniture & Fittings	66,397,649	17,405,559	-	-	83,803,208
Office Equipment	21,124,284	6,680,375	-	-	27,804,659
Motor Vehicles	9,924,000	-	-	-	9,924,000
Computer Hardware	100,290,604	13,492,912	-	-	113,783,516
Total Value of Depreciable Assets	<u>312,216,537</u>	<u>37,578,846</u>	<u>3,412,500</u>	<u>-</u>	<u>353,207,883</u>

28.2 Depreciation	Balance As at 31.03.2024 Rs.	Charge for the Period Rs.	Disposals Rs.	Balance As at 31.03.2025 Rs.
Furniture & Fittings	63,049,860	8,366,480	-	71,416,340
Office Equipment	16,957,920	2,725,361	-	19,683,281
Motor Vehicles	3,727,958	1,240,500	-	4,968,458
Computer Hardware	80,262,669	14,855,816	-	95,118,485
	<u>163,998,407</u>	<u>27,188,157</u>	<u>-</u>	<u>191,186,564</u>

Depreciation	Balance As at 31.03.2023 Rs.	Charge for the Period Rs.	Disposals Rs.	Balance As at 31.03.2024 Rs.
Furniture & Fittings	57,933,256	5,116,604	-	63,049,860
Office Equipment	14,376,344	2,581,576	-	16,957,920
Motor Vehicles	2,487,458	1,240,500	-	3,727,958
Computer Hardware	68,933,767	11,328,902	-	80,262,669
	<u>143,730,825</u>	<u>20,267,582</u>	<u>-</u>	<u>163,998,407</u>

28.3 Net Book Values	2025 Rs.	2024 Rs.
At Cost/Valuation		
Land	125,037,500	117,892,500
Furniture & Fittings	26,830,047	20,753,348
Office Equipment	18,091,388	10,846,739
Motor Vehicles	4,955,542	6,196,042
Computer Hardware	33,341,393	33,520,847
Total Carrying Amount of Property, Plant & Equipment	<u>208,255,870</u>	<u>189,209,476</u>

28.4 The useful lives of the assets are estimated as follows;	2025	2024
Furniture & Fittings	3 - 8 Years	3 - 8 Years
Office Equipment	8 Years	8 Years
Motor Vehicles	8 Years	8 Years
Computer Hardware	4 years	4 years

28.5 During the Financial year, the Company acquired Property, Plant & Equipment to the aggregate value of Rs. 39,089,551/- (2023/2024 - Rs. 37,578,846/-)

28.6 Cost of fully depreciated assets of the company as at 31 March 2025 is Rs. 161,714,895.88/- (2023/2024-Rs. 142,652,694/-)

28. PROPERTY, PLANT AND EQUIPMENT (Contd...)**28.7 Fair value related disclosures of freehold land**

Fair value of the land was determined using the market comparable method. The valuations have been performed by the valuer and are based on proprietary databases of prices of transactions for properties of similar nature, location and condition. As at the dates of revaluation on 31 March 2025, the lands' fair values are based on valuations performed by H.R De Silva, a professionally qualified independent valuer.

Reconciliation of carrying amount	2025 Rs.
Revalued amount (carrying value) as at 31.03.2024	117,892,500
Revaluation gain as at 31.03.2025	7,145,000
Impairment losses recognized during the year	-
Carrying Value and fair value as at 31 March 2025	<u>125,037,500</u>
	2024 Rs.
Revalued amount (carrying value) as at 31.03.2023	114,480,000
Revaluation gain as at 31.03.2024	3,412,500
Impairment losses recognized during the year	-
Carrying Value and fair value as at 31 March 2024	<u>117,892,500</u>

Fair value hierarchy

The fair value the Company's freehold land was determined using the market comparable method. This means that valuations performed are based on prices of transactions involving properties of a similar nature, location and condition. Since this valuation was performed using a significant non-observable input, the fair value was classified as a Level 3 measurement.

Valuation techniques and significant unobservable inputs

The following table shows the valuation technique used in measuring the fair value of freehold land, as well as the significant unobservable inputs used.

Name of the Professional Valuer/Location	Extent	Method of Valuation and Significant Unobservable Inputs	Valued in 31 March 2025 Rs.
H.R De Silva Freehold land at Awissawella Road, Galwana, Mulleriyawa	71.45 perches	Market Comparable Method- Estimated price per perch: Rs.1,750,000/-	125,037,500

The carrying value of Company's revalued freehold land, if it was carried at cost, would be as follows.

	2025 Cost Rs.	2025 Carrying Value Rs.	2024 Cost Rs.	2024 Carrying Value Rs.
Freehold Land	24,940,093	24,940,093	24,940,093	24,940,093
	<u>24,940,093</u>	<u>24,940,093</u>	<u>24,940,093</u>	<u>24,940,093</u>

28.8 There were no items of property plant and equipment pledge as security for liabilities of the company as at the reporting date.

28.9 There was no temporarily ideal property plant and Equipment as at 31 March 2025.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

29. RIGHT-OF-USE-ASSETS

Set out below are the carrying amounts of right-of-use-assets recognised and movements during the year.

29.1 Cost	2025 Rs.	2024 Rs.
Balance as at 01 April	363,976,574	324,491,208
Additions and Improvements	104,810,984	39,485,366
Derecognize	(39,623,215)	-
Cost as at 31 March	<u>429,164,343</u>	<u>363,976,574</u>
Accumulated Amortisation		
Balance as at 01 April	221,527,460	173,115,777
Charge for the year (Note 11)	45,675,440	48,411,683
Derecognize	(17,986,452)	-
Accumulated Amortisation as at 31 March	<u>249,216,448</u>	<u>221,527,460</u>
Net Book Value as at 31 March	<u>179,947,895</u>	<u>142,449,114</u>

29.2 Lease Liability

Set out below are the carrying amounts of Lease Liabilities (Included under Other Financial Liabilities in Note 34) and movements during the year.

	2025 Rs.	2024 Rs.
Balance as at 01 April	169,285,428	166,122,350
Additions & Derecognize	81,569,088	39,485,366
Accretion of Interest (Note 5.2)	25,114,860	26,624,358
Payments- Interest	(25,114,860)	(26,624,358)
Capital	(37,331,015)	(36,322,288)
Balance as at 31 March	<u>213,523,501</u>	<u>169,285,428</u>

29.3 Maturity Analysis of Lease Liability

	2025 Rs.	2024 Rs.
As at 31 March		
Less than 01 year	1,756,813	33,282,073
01 to 05 years	84,940,043	95,705,131
More than 05 years	126,826,645	40,298,224
	<u>213,523,501</u>	<u>169,285,428</u>

29.4 Sensitivity of Right-of use Assets /Lease Liability to Key Assumptions

Sensitivity to Discount Rates

1% increase/(Decrease) in discount rate as at 31 March 2025 would have increased/(decreased) the lease liability by approximately Rs.5,922,978/- with a similar increase/(decrease) in the Right- of-use Assets. Had the Company increased/(decreased) the discount rate by 1% the Company's profit before tax for the year would have increased/(decreased) by approximately Rs.257,556/-

29.5 Amounts Recognised in Profit or Loss	2025 Rs.	2024 Rs.
Depreciation expense on Lease Assets	45,675,440	48,411,683
Interest Expense	25,114,860	26,624,359

30. DEFERRED TAXATION

Deferred Tax Assets, Liabilities and Income Tax relates to the followings

	Statement of Financial Position		Recognized in Statement of Other Comprehensive Income		Recognized in Statement of Profit or Loss	
	2025 Rs.	2024 Rs.	2025 Rs.	2024 Rs.	2025 Rs.	2024 Rs.
Deferred Tax Liability						
Capital Allowances for Tax Purposes						
-Property Plant & Equipment	8,608,823	9,376,130	-	-	(767,307)	(1,169,624)
-Leased Asset	464,040	521,482	-	-	(57,442)	(2,092,675)
Revaluation of Land-Previous Year	27,885,722	26,861,972	-	1,023,750	-	-
Revaluation of Land -Current Year	2,143,500	1,023,750	2,143,500	-	-	-
Right-of-use-assets	53,984,369	42,734,734	-	-	11,249,634	(13,641,740)
Define Benefit Plan- Other Comprehensive Income	-	1,147,565	-	-	-	-
	<u>93,086,454</u>	<u>81,665,633</u>	<u>2,143,500</u>	<u>1,023,750</u>	<u>10,424,886</u>	<u>(16,904,039)</u>
Deferred Tax Assets						
Defined Benefit Plans- Income Statement	(15,568,420)	(12,385,449)	-	-	(3,182,971)	(1,155,685)
Define Benefit Plan- Other Comprehensive Income	(2,029,148)	-	(3,176,713)	1,040,668	-	-
Provision for Impairment on Financial Assets	-	-	-	-	-	9,689,247
Leased Assets-SLFRS 16	(64,057,050)	(50,785,628)	-	-	(13,271,422)	11,549,593
Brought Forward Tax Losses	-	-	-	-	-	-
Provision for impairment on loan and lease receivables	(11,431,835)	-	-	-	(11,431,835)	-
	<u>(93,086,454)</u>	<u>(63,171,077)</u>	<u>(3,176,713)</u>	<u>1,040,668</u>	<u>(27,886,227)</u>	<u>20,083,156</u>
Deferred income tax charge/(reversal)			(1,033,213)	2,064,418	(17,461,342)	3,179,117
Net Deferred Tax Liability/ (Asset)	-	18,494,556				

Deferred Tax Assets and Liabilities are Measured at the Tax Rate of 30% (2023/2024-30%).

30.1 Un recognized Deferred Tax Assets

Deferred tax asset have not been recognised in respect of following item because it is not probable that future taxable profit will be available against which the Company can use the benefits therefrom.

The deferred tax asset on temporary differences are as follows:

	2025	
	Temporary Differences	Tax Effect
Deferred Tax Assets		
Provision for impairment on loan and lease receivables	257,254,370	77,176,311
31. DUE TO BANKS	2025	2024
	Rs.	Rs.
Bank Overdrafts	4,664,275	48,270,764
	<u>4,664,275</u>	<u>48,270,764</u>
32. DUE TO CUSTOMERS	2025	2024
	Rs.	Rs.
Fixed Deposits	8,344,633,322	6,326,381,002
Savings Deposits	105,213,908	40,466,672
	<u>8,449,847,230</u>	<u>6,366,847,674</u>

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

33. OTHER BORROWED FUNDS

Securitization Loan (Note 33.1)

33.1 Other Borrowed Funds	2025		2024		2024	
	Amount repayable within 1 year		Amount repayable after 1 year		Amount repayable after 1 year	
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Securitized Borrowings	54,252,980	96,109,292	150,362,272	560,647,328	54,379,812	615,027,140
	54,252,980	96,109,292	150,362,272	560,647,328	54,379,812	615,027,140
33.2 (a) Other Borrowed Funds	As at 01.04.2024		As at 31.03.2025		Period	
	Loans Obtained		Repayments		Security	
	Rs.	Rs.	Capital Rs.	Interest Rs.	Rs.	Rs.
Securitized Borrowings 12	380,201,426	30,122,887	268,738,095	141,586,218	20 Months	Lease Portfolio
Securitized Borrowings 13	234,825,716	34,235,207	100,000,000	18,698,651	19 Months	Lease Portfolio
	615,027,142	64,358,094	368,738,095	160,284,869		
Securitized Borrowings 04	As at 01.04.2023		Repayments		Period	
	Loans Obtained		Capital Rs.		Security	
	Rs.	Rs.	Capital Rs.	Interest Rs.	Rs.	Rs.
Securitized Borrowings 06	1,634,377	-	-	1,634,377	24 Months	Lease Portfolio
Securitized Borrowings 07	1,450,989	-	-	1,450,989	24 Months	Lease Portfolio
Securitized Borrowings 08	867,565	-	-	867,565	30 Months	Lease Portfolio
Securitized Borrowings 09	28,451,599	-	25,000,000	3,487,500	18 Months	Lease Portfolio
Securitized Borrowings 10	248,662,280	-	220,508,308	32,183,971	18 Months	Lease Portfolio
Securitized Borrowings 11	215,865,175	-	190,000,000	38,812,027	24 Months	Lease Portfolio
Securitized Borrowings 12	913,340,438	-	735,434,655	262,680,729	16 Months	Lease Portfolio
Securitized Borrowings 13	542,750,992	-	230,879,763	100,658,698	20 Months	Lease Portfolio
	-	223,594,912	-	11,230,803	19 Months	Lease Portfolio
	1,953,023,415	223,594,912	1,401,822,726	441,875,856		

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

34. OTHER FINANCIAL LIABILITIES

	2025 Rs.	2024 Rs.
Trade Payables - Related Parties (Note 34.1)	36,709,815	41,912,249
Non Trade Payables - Related Parties (Note 34.2)	3,152,445	3,381,232
Trade Payables - Other Parties	341,644,641	260,648,868
Lease Liability (Note 29.2)	213,523,501	169,285,428
Accrued Expenses	363,566,109	242,805,102
	958,596,511	718,032,879

34.1 Trade Payables to Related Parties

Relationship

Abans PLC	Parent Company	637,400	427,872
Abans Auto (Pvt)Ltd	Affiliate Company	36,072,415	41,484,377
		36,709,815	41,912,249

34.2 Non Trade Payables to Related Parties

Abans PLC	Parent Company	357,359	299,206
Abans Environmental Services	Affiliate Company	587,660	323,469
ABS Gardner Dixon Hall International (Pvt) Ltd	Affiliate Company	723,882	1,372,980
AB Securitas (Pvt) Ltd	Affiliate Company	1,229,565	1,067,266
ABS Courier (Pvt) Ltd	Affiliate Company	253,979	318,311
		3,152,445	3,381,232

35. OTHER NON FINANCIAL LIABILITIES

	2025 Rs.	2024 Rs.
VAT on Financial Services & NBT	63,394,700	14,143,268
VAT Payable	11,328,894	41,948,832
SSCL Payable	13,162,676	2,879,981
Others	6,736,142	5,801,534
	94,622,412	64,773,615

36. RETIREMENT BENEFIT OBLIGATIONS

	2025 Rs.	2024 Rs.
Retirement Benefit Obligations - Gratuity		
Balance at the beginning of the year	41,284,829	37,432,541
Current Service Cost	8,161,676	5,602,585
Payments made during the year	(6,331,168)	(4,988,075)
Interest Charged/(Reversed) for the year	4,954,179	6,706,672
Due to change in Demographic Assumptions	2,825,648	(604,813)
Due to change in Financial Assumptions	964,592	1,288,831
Experience Adjustment	6,798,804	(4,152,911)
Balance at the end of the year	58,658,560	41,284,829

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

36. RETIREMENT BENEFIT OBLIGATIONS (Contd...)		2025 Rs.	2024 Rs.
36.1 Expenses on Defined Benefit Plan			
Current Service Cost for the year		8,161,676	5,602,585
Interest Charge for the year		4,954,179	6,706,672
		13,115,855	12,309,257
Amount Recognized in the Other Comprehensive Income			
(Gain)/Loss arising from changes in the assumption (Note 36.2)		10,589,044	(3,468,893)
		10,589,044	(3,468,893)
36.2 (Gain) / Loss arising from the changes in the assumption			
Due to change in Demographic Assumptions		2,825,648	(604,813)
Due to change in Financial Assumptions		964,592	1,288,831
Experience Adjustment		6,798,804	(4,152,911)
		10,589,044	(3,468,893)
36.3 Actuarial valuation of Retiring Gratuity Obligation as at 31 March 2025 was carried out by Messrs. Actuarial and Management Consultants (Pvt) Ltd, a firm of professional actuaries using "Project Unit Credit Method" as recommended by LKAS 19-'Employee Benefits'.			
36.4 Assumptions		2025	2024
Discount Rate		11.00%	12.00%
Salary Increment Rate		10.00%	10.00%
Staff Turnover		14.00%	10.00%
Retirement Age		60 Years	60 Years

Assumptions regarding future mortality are based on 1967/70 Mortality Table and issued by the Institute of Actuaries, London.

**The minimum retirement age has been extended up to 60 years with effect from 17 November 2021 as per the "Minimum Retirement Age of Workers Act, No. 28 of 2021".

**The long term bond rate has been used to discount the future liabilities taking into consideration remaining working life of employees.

36.5 Sensitivity of Assumptions in Actuarial Valuation of Retiring Gratuity Obligation

The following table demonstrates the sensitivity to a possible change in key assumptions employed with all other variables held constant in the Retiring Gratuity Obligations measurement. The sensitivity of the Statement of Financial position and Statement of Comprehensive Income is the effect of the assumed changes in the discount rate and salary increment on the profit or loss and Retiring Gratuity obligation for the year.

		2025		2024	
Increase/(Decrease) in Discount Rate	Increase/(Decrease) in Salary Escalation Rate	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation
1%		2,591,084	(2,591,084)	2,507,357	(2,507,357)
-1%		(2,850,882)	2,850,882	(2,817,692)	2,817,692
	1%	(3,129,420)	3,129,420	(3,040,617)	3,040,617
	-1%	2,891,826	(2,891,826)	2,745,452	(2,745,452)

36.6 Maturity Profile of the Defined Benefit Obligation Plan

Maturity Profile of the Defined Benefit Obligation Plan as at the reporting date is given below;

	2025 Years	2024 Years
Weighted Average Duration of the Defined Benefit Obligation	5.00	7.00
Average Time to Benefit Payout	4.90	7.30

ABANS FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

36. RETIREMENT BENEFIT OBLIGATIONS (Contd...)

36.7 Distribution of Defined Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting period.

	2025	2024
	Rs.	Rs.
Less than 1 year	10,760,836	4,279,337
Between 1-5 years	25,108,728	14,436,760
Between 5-10 years	13,521,050	10,608,961
Over 10 years	9,267,947	11,959,771
	58,658,561	41,284,829

37. STATED CAPITAL

	2025		2024	
	No. of Shares	Rs.	No. of Shares	Rs.
37.1 Issued and Fully Paid-Ordinary shares				
As at 31 March	73,693,171	1,321,097,699	73,693,171	1,321,097,699
	73,693,171	1,321,097,699	73,693,171	1,321,097,699

37.2 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled to one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

38. RETAINED EARNINGS AND OTHER RESERVES

	2025	2024
	Rs.	Rs.
38.1 Retained Earnings		
As at 01 April	912,324,112	535,358,398
Dividend Paid	-	-
Profit/(Loss) for the Year	425,755,623	104,338,050
Other Comprehensive Income net of tax	(7,412,331)	2,428,225
Transfers to Statutory Reserve Fund	(21,287,781)	(5,216,903)
Transfers from Regulatory Risk Allowance Reserve	432,048,476	275,416,342
As at 31 March	1,741,428,099	912,324,112

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.

	2025	2024
	Rs.	Rs.
38.2 Other Reserves		
Statutory Reserve Fund	321,427,006	300,139,225
Revaluation Reserve	70,068,185	65,066,685
Regulatory Risk Allowance Reserve	48,442,231	480,490,707
	439,937,422	845,696,617

38.2.1 Statutory Reserve Fund

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 5% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

	2025	2024
	Rs.	Rs.
Balance as at 01 April	300,139,225	294,922,322
Transfers to/(from) during the year	21,287,781	5,216,903
Balance as at 31 March	321,427,006	300,139,225

38.2.2 Revaluation Reserve

	2025	2024
	Rs.	Rs.
Balance as at 01 April	65,066,685	62,677,935
Revaluation Surplus (Net of Tax)	5,001,500	2,388,750
Balance as at 31 March	70,068,185	65,066,685

*Revaluation reserve is the result of land revaluation.

38.2.3 Regulatory Risk Allowance Reserve

In terms of the section 7.0 on Classification and Measurement of Credit Facilities Direction No. 01 of 2020, ensure the following.

Section 7.1.3

Where the loss allowances for expected credit loss falls below the regulatory provisions (i.e., provision and accrued interest in NPL), Company shall maintain the additional loss allowance in a non-distributable regulatory loss allowance reserve (RLRA) through an appropriation of its retained earnings. The additional loss allowance shall be maintained in the RLAR at all times. When loss allowance for expected credit losses exceeds the regulatory provision, the Company may transfer the excess amount in the RLAR to its retained earnings. Company has provided the difference of regulatory provision and impairment provision as per SLFRS 09, Rs.48,442,231/- as of 31.03.2025.

	2025	2024
	Rs.	Rs.
As at 01 April	480,490,707	755,907,049
Transfer/ (Reversal) to Regulatory Risk Allowance Reserve for the year	(432,048,476)	(275,416,342)
As at 31 March	48,442,231	480,490,707

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

39. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

39.1 As at 31 March 2025

	Amortised Cost	Financial Investments	Equity Instruments -	Total
	Rs.	FVP&L	FVOCI	Rs.
Assets				
Cash and Bank Balances	315,577,083	-	-	315,577,083
Placement With Banks	469,476,605	-	-	469,476,605
Repurchase Agreements	4,403,264	-	-	4,403,264
Loans and Advances	1,272,403,552	-	-	1,272,403,552
Lease rentals receivable & Stock out on Hire	9,797,524,125	-	-	9,797,524,125
Financial Investments at Fair Value through P&L	-	317,071,437	-	317,071,437
Equity instruments at fair value through OCI	-	-	80,400	80,400
Debt Instruments at Amortised Cost	631,753,297	-	-	631,753,297
Other Financial Assets	142,823,271	-	-	142,823,271
Total Financial Assets	12,633,961,197	317,071,437	80,400	12,951,113,034
Liabilities				
Due to Banks	4,664,275	-	-	4,664,275
Due to Customers	8,449,847,230	-	-	8,449,847,230
Other Borrowed Funds	150,362,272	-	-	150,362,272
Other Financial Liabilities	958,596,511	-	-	958,596,511
Total Financial Liabilities	9,563,470,288	-	-	9,563,470,288

Other than disclosed in Notes 19.2 and 20.2 there were no reclassifications or transfers of Financial Assets during the year.

39.2 As at 31 March 2024

	Amortised Cost	Financial Investments	Equity Instruments -	Total
	Rs.	FVP&L	FVOCI	Rs.
Assets				
Cash and Bank Balances	160,835,567	-	-	160,835,567
Placement With Banks	1,266,431,226	-	-	1,266,431,226
Repurchase Agreements	315,294,233	-	-	315,294,233
Loans and Advances	915,609,768	-	-	915,609,768
Lease rentals receivable & Stock out on Hire	6,775,412,023	-	-	6,775,412,023
Financial Investments at Fair Value through P&L	-	591,848,876	-	591,848,876
Equity instruments at fair value through OCI	-	-	80,400	80,400
Debt Instruments at Amortised Cost	430,455,264	-	-	430,455,264
Other Financial Assets	97,810,135	-	-	97,810,135
Total Financial Assets	9,961,848,216	591,848,876	80,400	10,553,777,492
Liabilities				
Due to Banks	48,270,764	-	-	48,270,764
Due to Customers	6,366,847,674	-	-	6,366,847,674
Other Borrowed Funds	615,027,140	-	-	615,027,140
Other Financial Liabilities	718,032,879	-	-	718,032,879
Total Financial Liabilities	7,748,178,457	-	-	7,748,178,457

There were no reclassifications or transfers of Financial Assets during the year.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

40. FAIR VALUE OF FINANCIAL INSTRUMENTS

Financial Instruments Recorded at Fair Value

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the financial instruments.

The unit trust investments are valued based on the market value which is published by the unit trust itself on daily basis.

40.1 Determination of Fair Value and Fair Value Hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by Valuation techniques.

Level 1 : Quoted (unadjusted) prices in active markets for identical assets or liabilities in the active Market.

Level 2: Valuation technique using observable inputs: Quoted prices for similar assets and liabilities in active markets or quoted prices for identical or similar assets and liabilities in active markets and are valued using models where all significant inputs are observable.

Level 3: Valuation techniques with significant unobservable inputs: assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

Assets and Liabilities Measured at Fair Value - Fair Value Hierarchy

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy in to which the fair value measurement is categorized.

As at 31 March 2025	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments at Fair Value through P&L				
Investment in Unit trust	317,071,437	-	-	317,071,437
Equity Instruments at Fair Value through OCI				
Unquoted Equities	-	-	80,400	80,400
Total Financial Assets measured at fair value	317,071,437	-	80,400	317,151,837
Non Financial Assets				
Freehold land & buildings (included under Property, Plant& Equipment)	-	-	125,037,500	125,037,500
Total Non - Financial Assets measured at fair value	-	-	125,037,500	125,037,500
As at 31 March 2024	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments at Fair Value through P&L				
Investment in Unit trust	591,848,876	-	-	591,848,876
Equity Instruments at Fair Value through OCI				
Unquoted Equities	-	-	80,400	80,400
Total Financial Assets	591,848,876	-	80,400	591,929,276
Non Financial Assets				
Freehold land & buildings (included under Property, Plant& Equipment)	-	-	117,892,500	117,892,500
Total Non - Financial Assets measured at fair value	-	-	117,892,500	117,892,500

There were no financial liabilities recorded at fair value as at 31 March 2025 & 2024.

There were no transfers between Level 1 and Level 2 during 2025 & 2024.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

40. FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)

40.2 Fair Value of Financial Assets and Liabilities Not Carried at Fair Value

Set out below is the comparison, by class, of the carrying amounts of Fair Values of the Company's Financial Instruments that are not carried at Fair Value in the Financial Statements. This table does not include the Fair Values of Non-Financial Assets and Non-Financial Liabilities.

	2025			2024		
	Carrying Amount		Fair Value	Carrying Amount		Fair Value
	Rs.	Level 01 Rs.		Rs.	Level 02 Rs.	
Financial Assets						
Loans and Advances	1,272,403,552	-	1,671,820,216	915,609,768	-	1,294,610,434
Lease rentals receivable & Stock out on Hire	9,797,524,125	-	10,494,199,965	6,775,412,023	-	7,054,754,471
Debt instruments at amortised cost	631,753,297	-	631,753,297	430,455,264	-	430,455,264
Other Financial Assets	142,823,271	-	142,823,271	97,810,135	-	97,810,135
	11,844,504,245	-	12,940,596,753	8,219,287,190	-	8,877,630,304
Financial Liabilities						
Due to Banks						
Due to Banks	4,664,275	-	4,664,275	48,270,764	-	48,270,764
Due to Customers	8,449,847,230	-	8,747,911,345	6,366,847,674	-	6,503,098,957
Other Borrowed Funds	150,362,272	-	150,362,272	615,027,140	-	786,879,651
	8,604,873,777	-	8,902,937,892	7,030,145,578	-	7,338,249,372

The following describes the methodologies and assumptions used to determine the Fair Values for those Financial Assets & Liabilities which are not already recorded at fair value in the Financial Statements.

Fixed Rate Financial Instruments

Carrying amounts are considered as Fair Values for short term credit facilities. All credit facilities with fixed interest rates were fair valued using market rates at which fresh credit facilities were granted during the last month of the reporting year. Conversely, fixed deposits with remaining tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the last month of the reporting year.

Assets & Liabilities for which Fair Value Approximates Carrying Value

The Following is a list of Financial Investments whose carrying amount is a reasonable approximation of Fair Value. Because for example, they are short-term in nature or reprice to current market rates Frequently:

Assets
Cash and Bank Balances
Placement With Banks
Repurchase Agreements

Liabilities
Other Financial Liabilities

Reclassification of Financial Assets

There have been no reclassifications during 2024/2025.

*For the year ended 31 March,***41. RISK MANAGEMENT DISCLOSURES****41.1 Introduction**

Risk is inherent in a financial business and such risks are managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities.

The Company is exposed to credit risk, interest rate risk, liquidity risk, operational risk, the latter being subdivided into regulatory & compliance risk, reputation risk and environmental risk. The independent risk control process does not include business risks such as changes in the environment, technology and industry.

The Company's policy is to monitor those business risks through the Company's strategic planning process.

41.2 Risk Management Structure

The Board is primarily responsible for risk management initiatives. Integrated Risk Management Committee (IRMC), which is a sub-committee of the Board has been established and delegated risk management responsibilities. This Committee plays a vital role in establishing best practices in relation to risk policies and practices within the company.

The quantum and level of risks that the Company is willing to accept is decided at the IRMC level, and the decisions made by this Committee are communicated to the Board of Directors. The Board ratifies the risk policies and risk tolerance levels agreed at the Integrated Risk Management Committee meetings.

The Committee fulfils the requirement set out in the Finance Companies Direction No. 5 of 2021 on Corporate Governance issued by Central Bank of Sri Lanka (CBSL) under Finance Business Act No. 42 of 2011.

The Committee consists of Three Non Executive Directors and the Chairman of the committee is an Independent Non executive Director who is one of Three members.

IRMC is supported by two sub committees such as Assets and Liabilities Committee (ALCO) and Credit Committee (CC). ALCO is entrusted with the identification and managing of Market Risk and Liquidity Risk where as CC is responsible for managing Assets Quality and credit policy of the Company.

The Company's policy is to ensure that risk management processes throughout the Company are audited by the Internal Audit function, which examines both the adequacy of the procedures and the Company's compliance with the procedures. Internal Audit division discusses the results of all assessments with management, and reports its findings and recommendations to the Board Audit Committee.

41.3 Risk measurement & Reporting System and Risk Mitigation

The positioning map of each risk component is placed within the risk grid. Tolerance levels are set by using sustainable measurements and these are discussed at risk management meetings. The risk console indicates the severity of each component of risk.

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 Credit Risk

Credit risk refers to the risk that borrowers will default on any type of debt by failing to disruption to cash flows, and increased collection costs. The loss may be complete or partial and can arise in a number of circumstances to make payments they are obligated to do. The risk of loss of principal or loss of a financial reward stems from a borrower's failure to repay a loan or otherwise meet a contractual obligation. The risk is primarily that of the lender and includes lost principal and interest.

Credit risk is closely tied to the potential return, the most notable being that the yields on portfolios correlate strongly to their perceived credit risk. The strategy of Company is not to eliminate risk, but to maintain the same within pre-determined acceptance levels. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and for geographical and industry concentrations, and by monitoring exposures in relation to such limits.

41.4.1 Impairment Assessment

The methodology of the impairment assessment has explained in Note 3.1.10 under Accounting policies. The references below should be read in conjunction with those Accounting policies.

41.4.1 (a) Definition of default and Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information analysis, based on the Company's historical experience and expert credit assessment and including forward looking information. The Company considers an exposure to have significantly increased credit risk when contractual payments of a customer are more than 30 days past due.

Credit-Impaired Financial Assets At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt financial assets carried at FVOCI, and finance lease receivables are credit-impaired (referred to as 'Stage 3 financial assets'). A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

The Company considers a financial instrument defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments. The Company considers treasury and interbank balances defaulted and takes immediate action when the required intra day payments are not settled by the close of business as outlined in the individual agreements.

As a part of a qualitative assessment of whether a customer is in default, the Company also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the Company carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate. Such events include:

- * Internal assessment of the borrower indicating default or near-default
- * The borrower requesting emergency funding from the Company
- * The borrower having past due liabilities to public creditors or employees
- * The borrower is deceased
- * A material decrease in the underlying collateral value where the recovery of the loan is expected from the sale of the collateral
- * A material decrease in the borrower's turnover or the loss of a major customer
- * A covenant breach not waived by the Company
- * The debtor (or any legal entity within the debtor's group) filing for bankruptcy application/protection
- * Debtor's listed debt or equity suspended at the primary exchange because of rumours or facts about financial difficulties

It is the Company's policy to consider a financial instrument as 'cured' and therefore re-classified out of Stage 3 when none of the default criteria have been present for at least six consecutive months. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit grade, at the time of the cure, and whether this indicates there has been a significant increase in credit risk compared to initial recognition.

The Company continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12m ECL or LTECL, the Company assesses whether there has been a significant increase in credit risk since initial recognition.

This approach ensures the volume of exposures in stage 2 reflects a forward-looking view of the economy and not just what is observable as at the reporting date.

Credit-Impaired Financial Assets At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt financial assets carried at FVOCI, and finance lease receivables are credit-impaired (referred to as 'Stage 3 financial assets'). A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit-impaired includes the following observable data:

The post-model adjustments considered evaluating management overlays by assessing the aged facilities with the age of more than 3 years for the 100% provisioning. The post model adjustment as at 31 March 2025 increased the loss-allowance by Rs. 514,120,699/- in the current year. The management's policy for recognition of 100% impairment on aged facilities has been modified to 3 years in arrears from 8 years in arrears during the financial year 31 March 2025. As a result additional provision amount into Rs.346,477,880 has been charged during the year.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.1 (c) Assessment of Expected Credit Losses

41.4.1(c) Analysis of the total allowance for expected credit losses is as follows.

Loans and Advances
Lease Rentals Receivable & Stock Out on Hire
Other Debtors
Total Allowance for Expected Credit Losses

2025			
Stage 01	Stage 02	Stage 03	Total
Rs.	Rs.	Rs.	Rs.
(18,511,632)	(8,465,854)	(394,842,348)	(421,819,834)
(197,069,552)	(71,313,448)	(760,270,886)	(1,028,653,886)
-	-	(31,221,535)	(31,221,535)
(215,581,184)	(79,779,302)	(1,186,334,769)	(1,481,695,255)

Loans and Advances
Lease Rentals Receivable & Stock Out on Hire
Other Debtors
Total Allowance for Expected Credit Losses

2024			
Stage 01	Stage 02	Stage 03	Total
Rs.	Rs.	Rs.	Rs.
(17,768,343)	(14,604,523)	(350,265,159)	(382,638,025)
(129,261,522)	(73,920,461)	(652,397,371)	(855,579,354)
-	-	(50,241,961)	(50,241,961)
(147,029,865)	(88,524,984)	(1,052,904,491)	(1,288,459,340)

The methodology used in the determination of expected credit losses is explained in Note 3.1.10 to Financial Statements.

41.4.1(d) Analysis of gross carrying amount contribution to the change in ECL allowance

	STAGE 1		STAGE 2		STAGE 3		TOTAL	
	Gross carrying amount	ECL	Gross carrying amount	ECL	Gross carrying amount	ECL	Gross carrying amount	ECL
Balance as at 1.4.2024	4,441,446,897	147,029,866	1,453,688,901	88,524,984	3,034,103,372	1,052,904,490	8,929,239,171	1,288,459,340
New assets originated or purchased	6,784,399,002	171,441,633	1,189,072,671	54,777,898	224,421,557	74,400,482	8,197,893,230	300,620,013
Payments and assets derecognised	(2,445,230,267)	(116,516,538)	(943,250,419)	(68,606,358)	(971,916,511)	324,072,605	(4,360,397,196)	138,949,708
Write-off	-	-	-	-	(246,333,806)	(246,333,806)	(246,333,806)	(246,333,806)
Transfers to stage 1	443,503,112	39,345,000	(360,181,252)	(22,369,254)	(83,321,859)	(16,975,745)	-	-
Transfers to stage 2	(630,516,193)	(22,108,405)	704,493,180	36,772,341	(73,976,987)	(14,663,936)	-	-
Transfers to stage 3	(101,797,258)	(3,610,372)	(138,717,350)	(9,320,308)	240,514,607	12,930,680	-	-
Balance as at 31 March 2025	8,401,805,293	215,581,184	1,905,105,731	79,779,303	2,123,490,373	1,186,334,770	12,520,401,399	1,481,695,255

41.4.1(e) Movement of the total allowance for expected credit losses during the period

	2025 Rs.	2024 Rs.
Balance as at 01 April	1,288,459,340	1,166,472,050
Charge/(Reversal) to Income Statement (Note 9)	408,337,325	382,424,951
Reclassification	31,232,396	-
Write-off during the year	(246,333,806)	(260,417,661)
Balance as at 31 March	1,481,695,255	1,288,459,340

41.4.1(f) Sensitivity Analysis : Impact of increase/(Decrease) of loss rate by 1% on collective allowance for expected credit losses

If the loss rates used by the Company in determining collective impairment has increased / decreased by below mentioned rates, ECL provision of the company as at 31 March 2025 would have increased / decreased as follows.

Scenario	Increase to the ECL provision	Decreased to the ECL provision
Changing of loss rate used by the Company - 1%	35,993,971	(35,993,971)
Changing of loss rate used by the Company - 2%	71,987,941	(71,987,941)

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.1(g) Loans past due but not impaired

A loan is considered past due when a counterparty has not made a payment by the contractual due date. The following table presents the carrying value of loans that are contractually past due but not classified as impaired because they are less than 90 days past due. Loans past due 30 days or less are not presented in this analysis as they are not administratively considered past due.

As at 31 March 2025

	2025		
	31-60 Days	61-89 Days	Total
	Rs.	Rs.	Rs.
Loans and Advances	131,744,660	70,917,747	202,662,407
Lease Rentals Receivable & Stock Out on Hire	1,142,708,504	559,734,817	1,702,443,321
	<u>1,274,453,164</u>	<u>630,652,564</u>	<u>1,905,105,728</u>

As at 31 March 2024

	2024		
	31-60 Days	61-89 Days	Total
	Rs.	Rs.	Rs.
Loans and Advances	92,726,106	41,075,361	133,801,467
Lease Rentals Receivable & Stock Out on Hire	846,690,187	473,197,247	1,319,887,434
	<u>939,416,293</u>	<u>514,272,608</u>	<u>1,453,688,901</u>

41.4.1(h) Overview of rescheduled loans and advances (except individually impaired loans and advances)

As at 31 March 2025	2025				Net Carrying Value
	Gross Carrying Value		Allowance for ECL		
	Stage 3	Total	Stage 3	Total	
Loans and Advances	33,007,105	33,007,105	17,883,424	17,883,424	15,123,681
Lease Rentals Receivable & Stock Out on Hire	183,910,797	183,910,797	50,840,950	50,840,950	133,069,847
	216,917,902	216,917,902	68,724,374	68,724,374	148,193,528
As at 31 March 2024	2024				Net Carrying Value
	Gross Carrying Value		Allowance for ECL		
	Stage 3	Total	Stage 3	Total	
Loans and Advances	28,452,161	28,452,161	10,444,317	10,444,317	18,007,844
Lease Rentals Receivable & Stock Out on Hire	389,562,861	389,562,861	89,366,639	89,366,639	300,196,222
	418,015,022	418,015,022	99,810,956	99,810,956	318,204,066

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.1 CREDIT RISK (Contd...)

41.1.2 Maximum Exposure to Credit risk

The following table shows the maximum exposure to credit risk by class of Financial Asset and the value of Financial Assets covered by the collateral.

Type of Collateral	Percentage of Exposure that is subject to collateral %	Maximum Exposure to Credit Risk Rs.	Fair Value of Collateral Held				Total Collateral Value Rs.	Net Exposure to Credit Risk Rs.
			Cash / Near Cash Rs.	Property Mortgages Rs.	Movable Assets ^a Rs.	Other ^{**} Rs.		
As at 31 March 2025								
Cash and Bank Balances (Excluding cash in hand)	-	272,403,216	-	-	-	-	-	272,403,216
Placement With Banks	-	469,476,605	-	-	-	-	-	469,476,605
Repurchase Agreements	-	4,403,264	-	-	-	-	-	4,403,264
Loans and Advances	99	1,694,223,386	348,374,351	616,510,000	2,216,522,811	664,919,844	3,846,327,006	-
Lease rentals receivable & Stock out on hire	100	10,826,122,237	-	-	18,590,271,849	37,055,220	18,627,327,069	-
Equity instruments at fair value through OCI	-	80,400	-	-	-	-	-	80,400
Debt instruments at amortised cost	-	631,753,297	-	-	-	-	-	631,753,297
Other Financial assets	-	142,823,271	-	-	-	-	-	142,823,271
		14,041,285,676	348,374,351	616,510,000	20,806,794,660	701,975,064	22,473,654,075	1,520,940,053

41.1.2.1 Collateral of credit Impaired assets

	Exposure to Credit Risk Rs.	Cash / Near Cash Rs.	Property Mortgages Rs.	Movable Assets ^a Rs.	Other ^{**} Rs.	Total Value Rs.	Net Exposure to Credit Risk Rs.
As at march 2025	463,383,168	-	436,700,000	624,637,142	369,675,008	1,430,962,143	-
As at march 2024	499,421,191	-	553,075,000	24,575,000	26,400,000	304,650,000	194,771,191

Type of Collateral	Percentage of Exposure that is subject to collateral %	Maximum Exposure to Credit Risk Rs.	Fair Value of Collateral Held				Total Collateral Value Rs.	Net Exposure to Credit Risk Rs.
			Cash / Near Cash Rs.	Property Mortgages Rs.	Movable Assets ^a Rs.	Other ^{**} Rs.		
As at 31 March 2024								
Cash and Bank Balances (Excluding cash in hand)	-	106,685,343	-	-	-	-	-	106,685,343
Placement With Banks	-	1,266,431,226	-	-	-	-	-	1,266,431,226
Repurchase Agreements	-	315,294,233	-	-	-	-	-	315,294,233
Loans and Advances	99	1,298,247,793	591,528,895	580,010,500	725,386,000	-	1,896,925,395	-
Lease rentals receivable & Stock out on hire	100	7,630,935,603	-	-	10,305,300,363	-	10,305,300,363	-
Equity instruments at fair value through OCI	-	80,400	-	-	-	-	-	80,400
Debt instruments at amortised cost	-	430,455,264	-	-	-	-	-	430,455,264
Other Financial assets	-	97,810,135	-	-	-	-	-	97,810,135
		11,145,939,997	591,528,895	580,010,500	11,030,686,363	-	12,202,225,758	2,216,756,601

^a Movable assets includes absolute ownership/ mortgage over motor vehicles and Machineries & Equipments.

^{**} Other collateral includes secured by consumer durables & title deed transfers (Real Estate Loans)

41.1.2.2 Financial Investments

(a) Placement with Banks As at 31st March	2025	Rating	2024	2025 Rs.	2024 Rs.
Seylan Bank	A+		A-	256,116,164	94,199,509
BOC Bank	AA-		A	102,314	95,391
DFCC Bank	A		A-	101,017,123	-
People's Leasing & Finance	A		A+	101,017,123	261,079,016
Sampath Bank	AA-		A	11,223,881	104,930,833
Commercial Bank	AA-		A	-	491,775,270
NDB Bank	A		A-	-	414,351,198
				469,476,605	1,266,431,226

(b) Cash and Bank Balances

Cash and cash equivalents comprise of cash in hand and cash at bank and other highly liquid financial assets which are held for the purpose of meeting short-term cash commitments. The cash and cash equivalents are held with the following commercial banks:

Bank	Rating
BOC	AA-
CARGILLS	A
COMMERCIAL	AA-
DFCC	A
FINB	AA-
NDB	A
NTB	A
PABC	BBB
SAMPATH	AA-
SEYLAN	A+
UNION	BBB-
PEOPLES	AA-

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.3 Credit Quality by Class of Financial Assets

The amounts presented are gross of Impairment allowances.

As at 31 March 2025	Neither Past Due nor Individually Impaired Rs.	Past Due Not Individually Impaired Rs.	Individually Impaired Rs.	Total Rs.
Assets				
Cash and Bank Balances	315,577,083	-	-	315,577,083
Placement With Banks	469,476,605	-	-	469,476,605
Repurchase Agreements	4,403,264	-	-	4,403,264
Loans and Advances	633,373,116	692,305,357	368,544,913	1,694,223,386
Lease Rentals Receivable & Stock Out on Hire	5,324,394,896	5,406,944,859	94,838,255	10,826,178,011
Debt instruments at amortised cost	631,753,297	-	-	631,753,297
Other Financial Assets	106,918,458	31,221,535	-	138,139,993
Total	7,485,896,719	6,130,471,751	463,383,168	14,079,751,639

As at 31 March 2024	Neither Past Due nor Individually Impaired Rs.	Past Due Not Individually Impaired Rs.	Individually Impaired Rs.	Total Rs.
Assets				
Cash and Bank Balances	160,835,567	-	-	160,835,567
Placement With Banks	1,266,431,226	-	-	1,266,431,226
Repurchase Agreements	315,294,233	-	-	315,294,233
Loans and Advances	446,345,685	466,655,129	385,246,979	1,298,247,793
Lease Rentals Receivable & Stock Out on Hire	2,458,124,721	5,058,692,445	114,174,212	7,630,991,378
Debt instruments at amortised cost	430,455,264	-	-	430,455,264
Other Financial Assets	71,436,556	50,241,962	-	121,678,518
Total	5,149,003,652	5,575,589,536	499,421,191	11,224,014,379

41.4.3.1 Aging Analysis of past due (i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of Financial Assets as at the end of the relevant financial period.

As at 31 March 2025

As at 31 March 2025	Past Due but Not Individually Impaired						Total	
	1 to 30	Days	31 to 60	Days	61 to 90	Days		More than 91
								Days
	Rs.		Rs.		Rs.			Rs.
Loans and Advances	324,838,095		131,744,660		70,917,747		164,804,855	692,305,357
Lease Rentals Receivable & Stock Out on Hire	2,209,048,888		1,142,708,504		559,734,817		1,495,452,650	5,406,944,859
Other Financial Assets							31,221,535	31,221,535
	2,533,886,983		1,274,453,164		630,652,564		1,691,479,040	6,130,471,751

Aging Analysis of past due (i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of financial assets as at the previous financial period.

As at 31 March 2024

As at 31 March 2024	Past Due but Not Individually Impaired						Total	
	1 to 30	Days	31 to 60	Days	61 to 90	Days		More than 91
								Days
	Rs.		Rs.		Rs.			Rs.
Loans and Advances	150,237,577		92,726,106		41,075,361		182,616,085	466,655,129
Lease Rentals Receivable & Stock Out on Hire	1,386,738,914		846,690,187		473,197,247		2,352,066,096	5,058,692,445
Other Financial Assets							50,241,962	50,241,962
	1,536,976,491		939,416,293		514,272,608		2,584,924,143	5,575,589,536

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For the year ended 31 March,

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.4 Analysis of Risk Concentration

The following table shows the risk concentration by sector for the Financial Assets components of the Statement of Financial Position.

As at 31 March 2025

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Loans and Advances	Lease rentals receivable & Stock Out on Hire	Financial Investment at fair value through P&L	Equity instruments at fair value through OCI	Debt instruments at amortised cost	Other Financial Assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	22,424,492	1,326,648,025	-	-	-	-	1,349,072,517
Manufacturing	-	-	-	89,734,928	638,953,508	-	-	-	-	748,688,436
Construction	-	-	-	109,225,743	585,137,853	-	-	-	-	694,363,596
Financial Services	315,577,083	469,476,605	-	34,011,109	70,898,711	317,071,437	80,400	-	-	1,207,115,345
Trading	-	-	-	114,247,224	378,216,237	-	-	-	-	492,463,461
Government	-	-	4,403,264	-	-	-	-	631,753,297	-	636,156,561
Hotels	-	-	-	15,308,272	134,015,709	-	-	-	-	149,323,980
Services	-	-	-	396,423,609	561,059,796	-	-	-	-	957,483,406
Others	-	-	-	912,848,009	7,111,248,172	-	-	-	142,823,271	8,166,919,452
Total	315,577,083	469,476,605	4,403,264	1,694,223,386	10,826,178,011	317,071,437	80,400	631,753,297	142,823,271	14,401,586,754

As at 31 March 2024

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Loans and Advances	Lease rentals receivable & Stock Out on Hire	Financial Investment at fair value through P&L	Equity instruments at fair value through OCI	Debt instruments at amortised cost	Other Financial Assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	19,612,918	10,824,333	-	-	-	-	30,437,251
Manufacturing	-	-	-	31,152,111	12,871,494	-	-	-	-	44,023,605
Construction	-	-	-	51,398,059	4,335,127	-	-	-	-	55,733,186
Financial Services	160,835,567	1,266,431,226	-	48,221,297	4,041,991	591,848,876	80,400	-	-	2,071,459,357
Trading	-	-	-	31,356,197	15,067,717	-	-	-	-	46,423,914
Government	-	-	315,294,233	-	-	-	-	430,455,264	-	745,749,497
Hotels	-	-	-	22,854,039	4,052,028	-	-	-	-	26,906,067
Services	-	-	-	306,397,262	34,828,254	-	-	-	-	341,225,516
Others	-	-	-	404,617,885	6,689,391,080	-	-	-	97,810,135	7,191,819,100
Total	160,835,567	1,266,431,226	315,294,233	915,609,768	6,775,412,024	591,848,876	80,400	430,455,264	97,810,135	10,553,777,493

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.5 Interest Rate Risk

Interest rate risk is a key constitute of the market risk exposure of the Company due to adverse and unanticipated movements in future interest rate which arises from core business activities; granting of credit facilities, accepting deposits and issuing debt instruments.

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows and / or the fair values of financial instruments. Several factors give rise to interest rate risk; among these are term structure risk, which arises due to the mismatches in the maturities of assets and liabilities; basis risk which is the threat to income arises due to differences in the bases of interest rates.

Excessive movements in market interest rate could result in severe volatility to company's net interest income and net interest margin. Company's exposure to interest rate risk is primarily associated with factors such as;

- Reprising risk arising from a fixed rate borrowing portfolio where reprising frequency is different to that of the lending portfolio.
- Yield curve risk arising from unanticipated shifts of the market yield curve.

Assets and Liabilities Committee of the company is having the primary responsibility of managing the Interest Rate Risk. Interest rate risk is managed principally through minimizing interest rate sensitive asset liability gaps. In order to ensure interest rate margin and spreads are maintained, the Company conducts periodic reviews and re-prices its assets accordingly.

.The company borrowings rate with associated with the fixed rate.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.5 INTEREST RATE RISK (Contd...)

41.5.2 Interest Rate Risk

Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the relevant financial period.

ASSETS	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at 31 March 2025
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	162,963,860	-	-	-	-	152,613,223	315,577,083
Placement with Banks	469,374,292	102,314	-	-	-	-	469,476,605
Securities Purchased under Repurchase Agreement	4,403,264	-	-	-	-	-	4,403,264
Loans and Advances	839,875,213	97,080,213	218,196,147	114,014,552	3,237,427	-	1,272,403,552
Lease Rentals Receivable & Stock out on Hire	1,811,489,709	2,930,760,105	4,465,251,915	590,022,397	-	-	9,797,524,125
Financial Investments at Fair Value through P&L	317,071,437	-	-	-	-	-	317,071,437
Debt instruments at amortised cost	478,982,810	152,770,487	-	-	-	-	631,753,297
Other Financial Assets	-	-	-	-	-	142,823,271	142,823,271
TOTAL FINANCIAL ASSETS	4,084,160,585	3,180,713,119	4,683,448,062	704,036,948	3,237,427	295,436,494	12,951,032,634
LIABILITIES							
Due to Banks	4,664,275	-	-	-	-	-	4,664,275
Due to Customers	2,533,675,021	4,060,711,090	1,442,925,092	412,536,028	-	-	8,449,847,231
Other Borrowed Funds	-	150,362,272	-	-	-	-	150,362,272
Other Financial Liabilities	-	-	-	-	-	958,596,511	958,596,511
TOTAL FINANCIAL LIABILITIES	2,538,339,296	4,211,073,362	1,442,925,092	412,536,028	-	958,596,511	9,563,470,288
TOTAL INTEREST SENSITIVITY GAP	1,545,821,289	(1,030,360,243)	3,240,522,970	291,500,921	3,237,427	(663,160,017)	3,387,562,346

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.5 INTEREST RATE RISK (Contd...)

41.5.2.1 Interest Rate Risk

Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The Company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the previous financial period.

ASSETS	Up to 03 Months		03-12 Months		01-03 Years		03-05 Years		Over 05 Years		Non interest bearing		Total as at 31 March 2024	
	Rs.		Rs.		Rs.		Rs.		Rs.		Rs.		Rs.	
Cash and Bank Balances	54,275,275		-		-		-		-		106,560,292		160,835,567	
Placement with Banks	1,260,667,844		5,763,382		-		-		-		-		1,266,431,226	
Securities Purchased under Repurchase Agreement	315,294,233		-		-		-		-		-		315,294,233	
Loans and Advances	596,198,570		77,916,006		153,802,498		78,022,633		9,670,059		-		915,609,766	
Lease Rentals Receivable & Stock out on Hire	1,335,912,664		2,171,118,894		3,109,552,660		158,827,805		-		-		6,775,412,023	
Financial Investments at Fair Value through P&L	591,848,876		-		-		-		-		-		591,848,876	
Debt instruments at amortised cost	430,455,264		-		-		-		-		-		430,455,264	
Other Financial Assets	-		-		-		-		-		97,810,135		97,810,135	
TOTAL FINANCIAL ASSETS	4,584,652,726		2,254,798,282		3,263,355,158		236,850,438		9,750,459		204,370,427		10,553,777,490	
LIABILITIES														
Due to Banks	48,270,764		-		-		-		-		-		48,270,764	
Due to Customers	2,934,851,354		1,893,548,733		1,060,034,552		478,413,035		-		-		6,366,847,674	
Other Borrowed Funds	-		133,613,863		427,033,465		54,379,812		-		-		615,027,140	
Other Financial Liabilities	-		-		-		-		-		718,032,879		718,032,879	
TOTAL FINANCIAL LIABILITIES	2,983,122,118		2,027,162,596		1,487,068,017		532,792,847		-		718,032,879		7,748,178,457	
TOTAL INTEREST SENSITIVITY GAP	1,601,530,608		227,635,686		1,776,287,141		(295,942,409)		9,750,459		(513,662,452)		2,805,599,033	

NOTES TO THE FINANCIAL STATEMENTS*For the year ended 31 March,***41. RISK MANAGEMENT DISCLOSURES (Contd...)****41.6 Liquidity Risk**

Liquidity risk refers to the availability of sufficient cash balances to meet the demand on deposits and new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity. The Company's primary objective in liquidity risk management is to ensure adequate funding for its businesses throughout market cycles, including periods of financial stress. To achieve this objective the asset and liability management committee (ALCO) analyses and monitors liquidity risk, and maintains an adequate margin of safety in liquid assets.

The Company maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow. The Company also has committed lines of credit that it can access to meet liquidity needs. In addition, the Company maintains the liquidity ratio prescribed by Central Bank of Sri Lanka.

41.6.1 Statutory Liquid Asset Ratio

As per the requirements of Finance companies (Liquid Assets) Direction No.4 of 2013 the Company has to maintain minimum liquid assets comprises of 10% of Time Deposits and Certificates of Deposits at the close of the business on such day and 15% of Savings Deposits at the close of the business on such day. In addition to the above, with effect from 01st July, 2014 the company needs to maintain 10% on Borrowings which are not included in the Tier -II capital base and borrowings which are not secured by mortgage of any assets. Further the Company has to maintain liquid assets in the form of Sri Lanka Government Securities not less than 7.5% of average month end total deposit liabilities and the above said borrowings of twelve months of the preceding financial year.

The Company maintained a healthy statutory liquid asset ratio throughout the year. The Company considers cash balances, Favorable Balances held with Commercial Banks on demand deposits, Placement with banks in the form of Time Deposits and Savings, Investment in Treasury Bills, Securities Purchased under Repurchase Agreement are considered as Liquid Assets for the purpose Statutory Liquid Asset Ratio calculation.

	Statutory Liquid Asset Ratio	
	2025	2024
Maximum	28.47%	32.30%
Minimum	13.34%	15.45%
Average	22.39%	25.25%
Closing	15.92%	32.30%

41.6.2 Advances to Deposits ratio

The Company stresses the importance of maintaining an adequate Customer Deposit Base such as Time and Savings Deposits as sources of funds to finance Loans and Advances. They are monitored using the Advances to Deposits ratio which comprises accommodations to customers as a percentage of customer deposits.

	Advances to Deposits Ratio	
	2025	2024
Maximum	138.53%	176.87%
Minimum	122.48%	140.25%
Average	132.02%	159.93%
Closing	132.32%	140.25%

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities

41.6.3.1 The table below analyses the maturity profile of the undiscounted cash flows of the Company's Financial Assets & Liabilities as at the end of relevant financial period.

ASSETS	On Demand	Up to 03 Months	03-12 Months	01-02 Years		02-03 Years		03-04 Years		04-05 Years		Over 05 Years		Total as at 31 March 2025
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	315,577,083	-	-	-	-	-	-	-	-	-	-	-	-	315,577,083
Placement With Banks	-	469,374,291	102,314	-	-	-	-	-	-	-	-	-	-	469,476,605
Securities Purchased under Repurchase Agreement	-	4,403,264	-	-	-	-	-	-	-	-	-	-	-	4,403,264
Loans and Advances	798,403,042	61,784,408	148,920,454	169,686,993	126,040,914	90,644,358	38,236,222	3,461,854	3,461,854	3,461,854	3,461,854	3,461,854	3,461,854	1,437,178,245
Lease rentals receivable & Stock out on Hire	813,595,482	1,721,583,419	4,578,538,273	4,104,414,286	1,886,545,171	549,647,142	146,437,976	-	-	-	-	-	-	13,800,761,749
Financial Investments at Fair Value through P&L	317,071,437	-	-	-	-	-	-	-	-	-	-	-	-	317,071,437
Equity instruments at fair value through OCI	-	-	-	-	-	-	-	-	-	-	-	-	-	80,400
Debt instruments at amortised cost	-	478,982,810	152,770,487	-	-	-	-	-	-	-	-	-	-	631,753,297
Other Financial Assets	-	10,650,715	107,293,458	3,160,000	12,116,793	900,000	2,085,000	6,617,305	6,617,305	6,617,305	6,617,305	6,617,305	6,617,305	142,823,271
Total Financial Assets	2,244,647,044	2,746,778,907	4,987,624,986	4,277,261,279	2,024,702,878	641,191,500	186,759,198	10,159,559	10,159,559	10,159,559	10,159,559	10,159,559	10,159,559	17,119,125,351
LIABILITIES														
Due to Banks	4,664,275	-	-	-	-	-	-	-	-	-	-	-	-	4,664,275
Due to Customers	105,213,908	2,458,848,510	4,250,504,038	1,173,694,469	337,115,711	273,646,595	149,693,092	-	-	-	-	-	-	8,748,716,323
Other Borrowed Funds	-	150,362,272	-	-	-	-	-	-	-	-	-	-	-	150,362,272
Other Financial Liabilities	-	14,948,529	598,189,183	231,706,384	32,534,677	18,771,617	21,464,361	105,462,303	105,462,303	105,462,303	105,462,303	105,462,303	105,462,303	1,023,077,053
Total Financial Liabilities	109,878,183	2,624,159,311	4,848,693,221	1,405,400,853	369,650,388	292,418,212	171,157,453	105,462,303	105,462,303	105,462,303	105,462,303	105,462,303	105,462,303	9,926,819,923
Total Financial Assets	2,134,768,861	122,619,596	138,931,765	2,871,860,426	1,655,052,490	348,773,288	15,601,745	(95,302,744)	(95,302,744)	(95,302,744)	(95,302,744)	(95,302,744)	(95,302,744)	7,192,305,428

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities

41.6.3.2 The table below analyses the maturity profile of the undiscounted cash flows of the Company's Financial Assets & Liabilities as at the end of previous financial period.

ASSETS	On Demand	Up to 03 Months		03-12 Months		01-02 Years		02-03 Years		03-04 Years		04-05 Years		Over 05 Years		Total as at 31 March 2024
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	160,835,567	-	-	-	-	-	-	-	-	-	-	-	-	-	-	160,835,567
Placement With Banks	108,971,709	1,167,946,809	6,010,792	-	-	-	-	-	-	-	-	-	-	-	-	1,282,929,309
Securities Purchased under Repurchase Agreement	-	315,294,233	-	-	-	-	-	-	-	-	-	-	-	-	-	315,294,233
Loans and Advances	559,696,153	53,064,715	117,915,164	123,262,156	88,800,341	58,462,597	31,602,757	10,023,933	-	-	-	-	-	-	-	1,042,827,816
Lease rentals receivable & Stock out on Hire	601,536,766	1,203,147,946	3,216,114,562	2,912,499,700	999,090,492	164,857,910	15,173,837	-	-	-	-	-	-	-	-	9,112,421,213
Financial Investments at Fair Value through P&L	591,848,876	-	-	-	-	-	-	-	-	-	-	-	-	-	-	591,848,876
Equity instruments at fair value through OCI	-	-	-	-	-	-	-	-	-	-	-	-	-	80,400	-	80,400
Debt instruments at amortised cost	-	449,999,838	-	-	-	-	-	-	-	-	-	-	-	-	-	449,999,838
Other Financial Assets	-	5,719,466	71,436,556	3,625,000	-	13,016,792	-	-	-	-	-	-	-	4,012,321	-	97,810,135
Total Financial Assets	2,022,889,071	3,195,173,007	3,411,477,074	3,039,386,856	1,087,890,833	236,337,299	46,776,594	14,116,654	46,776,594	236,337,299	46,776,594	14,116,654	46,776,594	14,116,654	13,054,047,388	
LIABILITIES																
Due to Banks	48,270,764	-	-	-	-	-	-	-	-	-	-	-	-	-	-	48,270,764
Due to Customers	41,351,327	2,897,971,406	2,015,879,744	914,384,697	216,960,372	224,479,846	275,882,645	-	-	-	-	-	-	-	-	6,586,910,037
Other Borrowed Funds	-	170,769,231	358,443,097	153,741,748	-	-	-	-	-	-	-	-	-	-	-	682,954,076
Other Financial Liabilities	-	16,467,674	463,392,598	208,469,664	12,593,349	33,968,105	8,095,310	58,489,857	-	-	-	-	-	-	-	801,476,558
Total Financial Liabilities	89,622,091	3,085,208,311	2,837,715,439	1,276,596,109	229,553,721	258,447,951	283,977,955	58,489,857	283,977,955	258,447,951	283,977,955	58,489,857	283,977,955	58,489,857	8,119,611,435	
Operational Risk	1,933,266,980	109,964,696	573,761,635	1,762,790,747	858,337,112	(22,110,652)	(237,201,361)	(44,373,203)	(237,201,361)	(22,110,652)	(237,201,361)	(44,373,203)	(237,201,361)	(44,373,203)	4,934,435,953	

41.7

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.

41.8

Currency Risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Company, as at the reporting date, do not hold 'Financial instruments' denominated in currencies other than its functional / reporting currency, hence do not get exposed to currency risk arising from translation of such balances in to the functional / reporting currency, which is Sri Lankan Rupees.

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

42. MATURITY ANALYSIS (CONTRACTUAL)

42.1 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining term at the date of the Statement of Financial Position to the respective contractual maturity dates are given below.

ASSETS	On Demand	Up to 03 Months		03-12 Months		01-03 Years		03-05 Years		Over 05 Years		Total as at 31 March 2025
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	315,577,083	-	-	-	-	-	-	-	-	-	-	315,577,083
Placement With Banks	-	469,374,291	102,314	-	-	-	-	-	-	-	-	469,476,605
Securities Purchased under Repurchase Agreement	-	4,403,264	-	-	-	-	-	-	-	-	-	4,403,264
Loans and Advances	798,403,042	41,472,172	97,080,213	218,196,147	114,014,551	3,237,427	-	-	-	-	-	1,272,403,552
Lease rentals receivable & Stock out on Hire	813,595,482	997,894,226	2,930,760,105	4,465,251,915	590,022,397	-	-	-	-	-	-	9,797,524,125
Financial Investments at Fair Value through P&L	317,071,437	-	-	-	-	-	-	-	-	-	-	317,071,437
Equity instruments at fair value through OCI	-	-	-	-	-	-	-	-	-	80,400	-	80,400
Debt instruments at amortised cost	-	478,982,810	152,770,487	-	-	-	-	-	-	-	-	631,753,297
Other Financial Assets	-	10,650,715	107,293,458	15,276,793	2,985,000	6,617,305	-	-	-	-	-	142,823,271
Real Estate Stock	-	-	-	39,483,688	-	-	-	-	-	-	-	39,483,688
Other Non Financial Assets	-	58,362,244	18,075,121	10,219,380	-	-	-	-	-	-	-	86,656,745
Property, Plant & Equipment	-	-	-	-	-	-	-	-	-	208,255,870	-	208,255,870
Intangible Assets	-	-	-	681,668	9,803,542	8,984,432	-	-	-	-	-	19,469,642
Right-of-use Assets	-	11,263,579	30,529,570	62,402,358	26,312,010	49,440,378	-	-	-	-	-	179,947,895
Total Assets	2,244,647,044	2,072,403,301	3,336,611,268	4,811,511,949	743,137,500	276,615,812	13,484,926,874					
LIABILITIES												
Due to Banks	4,664,275	-	-	-	-	-	-	-	-	-	-	4,664,275
Due to Customers	105,213,908	2,428,461,113	4,060,711,089	1,442,925,092	412,536,028	-	-	-	-	-	-	8,449,847,230
Other Borrowed Funds	-	150,362,272	-	-	-	-	-	-	-	-	-	150,362,272
Other Financial Liabilities	-	10,590,045	586,378,565	242,215,564	25,099,257	94,313,080	-	-	-	-	-	958,596,511
Other Non Financial Liabilities	-	94,622,412	-	-	-	-	-	-	-	-	-	94,622,412
Current Tax Liabilities	-	-	265,712,394	-	-	-	-	-	-	-	-	265,712,394
Retirement Benefit Liability	-	-	10,760,836	25,108,728	13,521,050	9,267,946	-	-	-	-	-	58,658,560
Total Liabilities	109,878,183	2,684,035,842	4,923,562,885	1,710,249,384	451,156,335	103,581,026	9,982,463,654					

42. MATURITY ANALYSIS (CONTRACTUAL) (Contd...)

42.1 (a) LKAS 1 requirements: The entity is required to disclose the amount expected to be recovered or settled within 12 months and after 12 months for each asset and liability line item that combines amounts expected to be recovered or settled:

	Within 12 months		After 12 months		As at 31 March 2025	As at 31 March 2024
	2025	2024	2025	2024		
	Rs.		Rs.			
ASSETS						
Cash and Bank Balances	315,577,083	160,835,567	-	-	315,577,083	160,835,567
Placements With Banks	469,476,605	1,266,431,226	-	-	469,476,605	1,266,431,226
Securities Purchased under Repurchase Agreement	4,403,264	315,294,233	-	-	4,403,264	315,294,233
Loans and Advances	936,955,427	674,114,578	335,448,125	241,495,191	1,272,403,552	915,609,768
Lease rentals receivable & Stock out on Hire	4,742,249,813	3,507,031,557	5,055,274,312	3,268,380,465	9,797,524,125	6,775,412,022
Financial Investments at Fair Value through P&L	317,071,437	591,848,876	-	-	317,071,437	591,848,876
Equity instruments at fair value through OCI	-	-	80,400	80,400	80,400	80,400
Debt instruments at amortised cost	631,753,297	430,455,264	-	-	631,753,297	430,455,264
Other Financial Assets	117,944,174	-	24,879,098	97,810,135	142,823,272	97,810,135
Real Estate Stock	-	-	39,483,688	40,273,387	39,483,688	40,273,387
Other Non Financial Assets	76,437,365	-	10,219,380	62,438,913	86,656,745	62,438,913
Property, Plant & Equipment	-	-	208,255,870	189,209,476	208,255,870	189,209,476
Intangible Assets	-	1,864,594	19,469,642	20,307,957	19,469,642	22,172,551
Right-of- use Assets	41,793,148	37,463,387	138,154,746	104,985,730	179,947,894	142,449,117
Deferred tax assets	-	-	-	-	-	-
Total Assets	7,653,661,613	6,985,339,282	5,831,265,261	4,024,981,654	13,484,926,874	11,010,320,936

LIABILITIES

Due to Banks	4,664,275	48,270,764	-	-	4,664,275	48,270,764
Due to Customers	6,594,386,110	4,828,400,087	1,855,461,120	1,538,447,586	8,449,847,230	6,366,847,673
Other Borrowed Funds	150,362,272	560,647,328	-	54,379,812	150,362,272	615,027,140
Other Financial Liabilities	596,968,610	-	361,627,901	718,032,879	958,596,511	718,032,879
Other Non Financial Liabilities	94,622,412	64,773,615	-	-	94,622,412	64,773,615
Current Tax Liabilities	265,712,394	58,471,051	-	-	265,712,394	58,471,051
Retirement Benefit Liability	10,760,836	4,279,337	47,897,724	37,005,492	58,658,560	41,284,829
Deferred Tax Liabilities	-	18,494,556	-	-	-	18,494,556
Total Liabilities	7,717,476,909	5,583,336,738	2,264,986,745	2,347,865,769	9,982,463,654	7,931,202,507

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

42. MATURITY ANALYSIS (CONTRACTUAL) (Contd...)

42.2 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining term at the end of the previous financial period to the respective contractual maturity dates are given below

ASSETS	On Demand		Up to 03 Months		03-12 Months		01-03 Years		03-05 Years		Over 05 Years		Total as at 31 March 2024	
	Rs.		Rs.		Rs.		Rs.		Rs.		Rs.		Rs.	
Cash and Bank Balances	160,835,567		-		-		-		-		-		160,835,567	
Placement With Banks	108,971,709		1,151,731,795		5,727,722		-		-		-		1,266,431,226	
Securities Purchased under Repurchase Agreement	-		315,294,233		-		-		-		-		315,294,233	
Loans and Advances	559,696,153		36,502,418		77,916,006		153,802,498		78,022,632		9,670,061		915,609,768	
Lease rentals receivable & Stock out on Hire	601,536,766		734,375,896		2,171,118,894		3,109,552,660		158,827,808		-		6,775,412,024	
Financial Investments at Fair Value through P&L	591,848,876		-		-		-		-		-		591,848,876	
Equity Instruments at fair value through OCI	-		-		-		-		-		80,400		80,400	
Debt instruments at amortised cost	-		430,455,264		-		-		-		-		430,455,264	
Other Financial Assets	-		5,719,466		71,436,556		3,625,000		13,016,792		4,012,321		97,810,135	
Real Estate Stock	-		-		-		40,273,387		-		-		40,273,387	
Other Non Financial Assets	-		27,862,565		18,315,588		16,260,760		-		-		62,438,913	
Property, Plant & Equipment	-		-		-		2,209,669		-		189,209,476		189,209,476	
Intangible Assets	-		-		1,864,594		-		12,171,765		5,926,525		22,172,553	
Right-of- use Assets	-		9,405,218		28,058,166		64,749,534		21,748,734		18,487,462		142,449,114	
Total Assets	2,022,889,071		2,711,346,855		2,374,437,526		3,390,473,508		283,787,731		227,386,244		11,010,320,936	
LIABILITIES														
Due to Banks	48,270,764		-		-		-		-		-		48,270,764	
Due to Customers	41,351,327		2,893,500,027		1,893,548,733		1,060,034,552		478,413,035		-		6,366,847,674	
Other Borrowed Funds	-		133,613,863		427,033,465		54,379,812		-		-		615,027,140	
Other Financial Liabilities	-		11,375,526		449,251,444		192,449,591		24,658,087		40,298,231		718,032,879	
Other Non Financial Liabilities	-		64,773,615		-		-		-		-		64,773,615	
Current Tax Liabilities	-		-		58,471,051		-		-		-		58,471,051	
Retirement Benefit Liability	-		-		4,279,337		14,436,760		10,608,961		11,959,771		41,284,829	
Deferred Tax Liabilities	-		-		18,494,556		-		-		-		18,494,556	
Total Liabilities	89,622,091		3,103,263,031		2,851,078,586		1,321,300,715		513,680,083		52,258,002		7,931,202,508	

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

43. COMMITMENTS AND CONTINGENCIES

43.1 Commitments

There were no significant capital commitments which have been approved or contracted for by the Company as at the reporting date except for the following.

Operating Lease Commitments As at 31st March	2025 Rs	2024 Rs
Future Rentals of Operating Lease	350,053,016	179,042,173

43.2 Contingent Liabilities

There is no Contingent Liabilities as at 31st March 2025.

43.3 Capital Commitments

The Company has no commitments for acquisition of Property, Plant & Equipment and Intangible assets incidental to the ordinary course of business.

44. CAPITAL

The Company maintains an actively managed capital basis to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

44.1 Capital Management

The primary objective of Company's capital management policy is to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

Direction of No.02 of 2017 issued under the Finance Business Act as amended up to 31 December 2020 requires a finance company to have a minimum core capital of Rs.2.5 Bn where as concerning with the regulatory Risk Allowance Reserve, Abans Finance PLC has been imposed a deposit cap of Rs.6.5 Bn which was lifted by Central bank of Sri Lanka effective from 17th July 2024 upon the fulfilment of core capital requirement by reaching up to 2.53 Bn by the end of the Financial year 31.03.2024. With the removal of the deposit cap as explained above, the company doesn't have any restriction to accept public deposits. Further, company has 3.3 Bn in core capital by 31.03.2025.

44.2 Capital Adequacy

Capital adequacy is a measure of financial institution's financial strength and stability. This is a widely accepted concept, tries to specify the limit up to which a business can expand in terms of its risk-weighted assets. Finance companies in pursuit of business expansion, could engage themselves in activities that regularly change their risk profile. In light of this, regulatory capital requirements have been established to avoid undue expansion beyond specified limits keeping a hold on company's exposure to risk. Capital serves as a comfort to absorb unexpected losses, providing a degree of security to depositors and other key stakeholders.

This measure has been introduced by the Central Bank of Sri Lanka to protect the interest of the various stakeholders of the Company while ensuring the maintenance of confidence and stability of the financial system.

The Capital Adequacy ratio is calculated as a percentage on company's capital to its risk weighted assets as specified by the direction No 03 of 2018 with effect from 1st July 2018.

Based on the Direction No. 03 of 2018 the Listed Finance Companies which are having asset base less than 100 Billion need to have minimum Core Capital Ratio (Tier-I) of 8.5% and a Total Capital Ratio of 12.5% with effect from 1st July 2022.

The Core Capital represents the permanent shareholders', equity and reserves created or increase by appropriations of retained earnings or other surpluses and the total capital includes in addition to the core capital, the revaluation reserves, general provisions and other hybrid capital instruments and unsecured subordinated debts.

The Risk Weighted Assets have been calculated by multiplying the value of each category of asset using the risk weight specified by the Central Bank of Sri Lanka.

Capital Adequacy ratio As at 31 March 2025	2025 %	2024 %
Core Capital ratio	22.68	21.81
Total Capital ratio	22.68	21.81

45. ASSETS PLEDGED

Total financial assets recognised in the statement of financial position that had been pledged as collateral for liabilities at 31 March 2025 and 2024 is shown as follows,

Carrying Amount of Pledged Assets

Nature of Assets	Nature of Liability	2025 Rs.	2024 Rs.	Included Under
Placement With Banks	Bank Overdraft	65,860,533	93,214,748	Placement With Banks
Lease & Hire Purchase Receivables	Securitized Borrowings	333,439,988	1,713,924,034	Lease Rental Receivables and Stock Out on Hire
		<u>399,300,521</u>	<u>1,807,138,782</u>	

**The Company has received collaterals that it is permitted to sell or repledge in the absence of default.

46. EVENTS AFTER THE REPORTING DATE

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date of the financial statements are authorised for issue.

There are no events occurring after the reporting date which require adjustments to or disclosure in the financial statements as at 31 March 2025.

47. RELATED PARTY TRANSACTIONS

The Company carried out transactions with key management and their related concerns and other related entities in the ordinary course of its business with the parties who are defined as Sri Lanka Accounting Standard No.24 Related Party Disclosure, details of which are reported below. Such transactions are based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

Outstanding balances as at the year-end are unsecured, interest free, and due on demand. There have been no guarantees provided or received for any related party receivables or payables.

Details of related party transactions during the year are as follows:

47.1 The Parent

Abans PLC owns 50.22% (2024- 50.22%) shareholding of the Company.

47.2 The Ultimate Parent

Abans International (Pvt) Ltd is the ultimate parent of Abans Finance PLC.

47.3 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard-LKAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. According to the above definition a person cannot be considered as a KMP unless such person has both the authority and responsibility to carry out all of the three activities mentioned in the above definition (i.e. planning, directing and controlling the activities of the entity). Such KMPs include the Board of Directors of the Company and Chief Executive Officer (CEO) and the KMPs of Abans PLC.

Other related parties include CFMs of the KMPs who are family members who may be expected to influence or be influenced by that KMP in their dealings with the entity.

Compensation to Key Management Personnel

	2025 Rs.	2024 Rs.
Short Term Employee Benefits	35,399,748	28,960,460
Post-employment benefits	2,250,000	2,250,000
	<u>37,649,748</u>	<u>31,210,460</u>

Other transactions with Key Management Personnel

	2025 Rs.	2024 Rs.
Fixed Deposits accepted during the year	45,200,000	95,645,000
Fixed Deposits held at the end of the year	205,224,980	218,557,261
Consultancy Fee paid during the year	-	-

In addition to the above, the Company has also provided non-cash benefits such as vehicle & fuel allowance to Key Management Personnel in line with the approved employment benefits of the Company.

Loans and Advances granted

No loans or advances were given to Key Managerial Personnel and their close family members during the year.(2024/2025- Nil).

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March,

48. FINANCIAL REPORTING BY SEGMENT

	Leasing		Hire purchase		Term Loans		Others		Total	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	2,711,455,154	2,183,046,938	433,089	733,006	178,590,386	193,622,499	142,053,986	228,899,514	3,032,532,615	2,606,301,957
Fee Based Income & Others	311,929,173	174,136,442	13,736,550	8,116,480	9,429,493	6,381,303	15,674,306	20,245,794	350,769,522	208,880,018
Unallocated Income	-	-	-	-	-	-	73,907,675	48,025,954	73,907,675	48,025,954
Total Revenue	3,023,384,327	2,357,183,380	14,169,639	8,849,486	188,019,879	200,003,802	231,635,967	297,171,262	3,457,209,812	2,863,207,930
Interest Expenses	(682,811,521)	(955,844,734)	(1,670,800)	(3,080,014)	(90,367,593)	(140,947,954)	(166,308,996)	(293,980,993)	(941,158,915)	(1,393,853,695)
Fee Based Expenses & Others	(5,120,366)	-	-	-	226,065	157,000	(29,943,971)	(30,559,970)	(34,838,272)	(30,402,970)
Impairment Reversal / (Provision)	369,193,827	92,051,501	756,366	285,372	38,387,132	47,235,674	-	242,852,403	(408,337,325)	(382,424,950)
Net Operating Income	2,704,646,267	1,493,390,147	13,255,205	6,054,844	136,265,478	106,448,522	35,383,000	215,482,702	2,072,875,300	1,056,526,315
Unallocated Expenses	-	-	-	-	-	-	-	-	(1,369,247,634)	(947,113,472)
Profits/ (Loss) before Tax	2,704,646,267	1,493,390,147	13,255,205	6,054,844	136,265,478	106,448,522	35,383,000	215,482,702	1,703,627,666	109,412,843
Income Tax expenses	-	-	-	-	-	-	-	-	(277,872,043)	(5,074,789)
Net Profit/(Loss) for the period	2,704,646,267	1,493,390,147	13,255,205	6,054,844	136,265,478	106,448,522	35,383,000	215,482,702	1,425,755,623	104,338,054
Other Comprehensive Income	-	-	-	-	-	-	-	-	(2,410,831)	4,816,975
Total Comprehensive Income for the Year	2,704,646,267	1,493,390,147	13,255,205	6,054,844	136,265,478	106,448,522	35,383,000	215,482,702	1,423,344,792	109,155,029
Segment Assets	9,776,980,249	6,755,501,875	20,543,876	19,910,148	1,272,403,552	915,609,768	1,422,704,602	2,604,029,599	12,492,632,279	10,295,051,390
Unallocated Assets	-	-	-	-	-	-	-	-	992,294,596	715,269,546
Total Assets	9,776,980,249	6,755,501,875	20,543,876	19,910,148	1,272,403,552	915,609,768	1,422,704,602	2,604,029,599	13,484,926,875	11,010,320,936
Unallocated Liabilities	-	-	-	-	-	-	-	-	9,982,463,655	7,931,202,508
Total Liabilities	-	-	-	-	-	-	-	-	9,982,463,655	7,931,202,508
For the Year ended 31 March										
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Additions to non-current assets	36,184,071	26,898,080	76,032	79,275	4,709,096	3,645,643	5,265,352	10,368,348	46,234,551	40,991,346
Additions to intangible assets	3,561,462	3,299,624	7,484	9,725	463,499	447,216	518,249	1,271,899	4,550,692	5,028,464
Additions to right of use assets	82,027,142	25,909,872	172,360	76,363	10,675,242	3,511,705	11,936,241	9,987,426	104,810,984	39,485,366
Cash flows from operating activities	(447,807,530)	1,407,826,516	(940,955)	4,149,216	(58,278,924)	190,810,355	(65,163,048)	542,672,030	(572,190,458)	2,145,458,117
Cash flows from investing activities	96,183,049	(320,342,077)	202,105	(944,128)	12,517,531	(43,417,697)	13,996,148	(123,481,610)	122,898,833	(488,185,512)
Cash flows from financing activities	(317,797,689)	(796,986,771)	(667,772)	(2,348,919)	(41,359,080)	(108,019,935)	(46,244,569)	(307,212,873)	(406,069,109)	(1,214,568,498)